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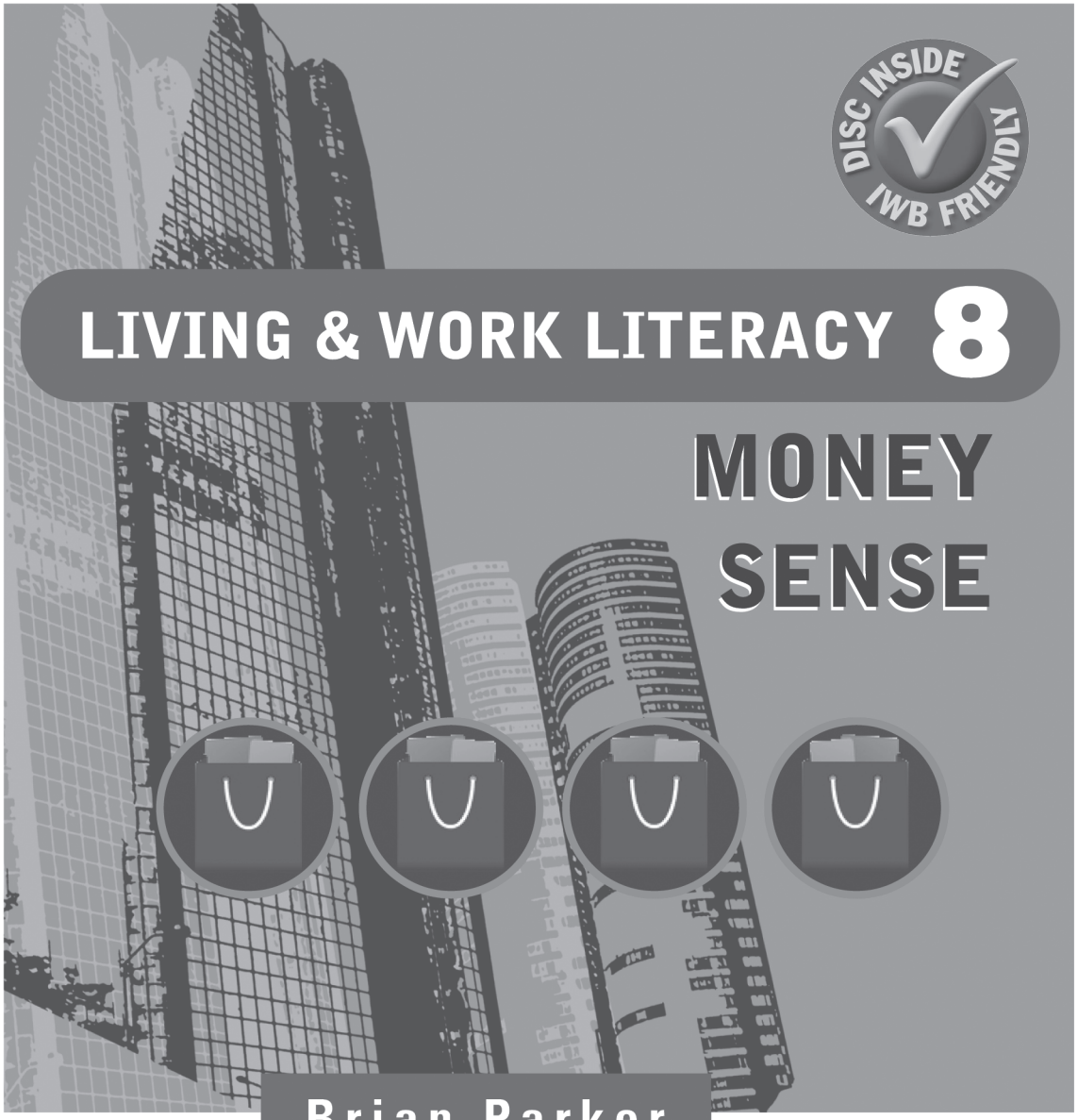
LIVING & WORK LITERACY 8

MONEY SENSE

Brian Parker

INSTANT LESSONS

Quality ready-to-use resources



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Introduction

The photocopiable activities in this title develop the skills that will help young adults become responsible and aware consumers. Working through the units, students will consider responsible money management, including knowing their spending habits, how to budget and what to do if they are in debt. Other topics include warranties, scams, gambling, online shopping and mobile phone plans. Concepts are reinforced through a range of challenging short answer, class discussion and research activities.

Topics contained in this book are suitable for secondary school subjects in years 7–10 that teach young people about the practical skills and knowledge that they need to participate fully in society. All the worksheets are included as a PDF on the attached CD-ROM, making them ideal resources for use on interactive whiteboards.

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1 What are your spending habits?

Needs and wants

Managing your money is a juggle between spending and saving. When it comes to spending, we all have needs and wants. Needs are basic to our survival. They are the things we can't do without. For example, we need food to survive, and we need basic clothing and shelter for protection against the cold. Wants, on the other hand, are the things that we would like to have but that are not basic to our survival.

Needs	Wants
• food	• television
• clothing	• movie ticket
• shelter	• mobile phone

Some items can fit into either category. For example, a loaf of bread may qualify as a need, while a meal at an expensive restaurant could be seen as a want. They are both kinds of food, but the fancy restaurant meal is not essential to survival. Many items of clothing could also fall into both categories – some are necessary for survival, but others are luxury items.

Your spending habits

It is good idea to analyse your spending habits. Remember that although we all have a limited income, there is no limit to the things we want. We need to decide which wants we satisfy and which ones we do without. This is not always easy – sometimes other factors are involved, such as emotion, and we can find ways to justify purchases that we may not really need to make. Consider the following comments:

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Are you a compulsive shopper?

Some people are compulsive shoppers – people who just can't stop shopping. Here are four ways to test whether you are a compulsive shopper:

- You get a sense of anticipation before a shopping trip.
- You become excited when you are at the shops.
- You feel a bit guilty after you have made a purchase.
- You don't tell your family and friends what you have bought.

Activities

1 What is the difference between needs and wants?

2 Can all items of clothing be classified as needs? Explain.

3 How would you define the term 'luxury items'? Give three examples.

4 Why can't we buy everything we want when we go shopping?

5 What is meant by the phrase 'retail therapy'?

6 Why do you think some people use shopping as a way of coping with depression?

7 What is a compulsive shopper? What are the symptoms?

8 What do you think are the dangers of being a compulsive shopper?

TRY THIS!

Make a list of all the purchases you have made in the last week. Which ones were needs and which ones were wants?

9 Look at the illustrations on these pages. Which illustration do you think best reflects your own shopping habits? Describe your own shopping habits if none of the illustrations represent them.

10 Describe a time when you have regretted a purchase. Explain why you felt this way.

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2 Top tips for saving money

There are two things you can do with your income – spend it or save it. Although it can be tempting to spend all your money, it's a good idea to try and save some money whenever you can.

Why save?

There are several reasons why it is a good idea to save some of your income, including:

- saving for a rainy day – this means saving money in case you need a little extra in the future
- saving for a major purchase
- saving to guard against loss of job
- saving money so you can invest it and make more money.

The story of Charles

Charles had a good job and earned a good income. His only problem was that he couldn't stop himself from spending it. As soon as he got paid he went shopping and spent all his money. One day Charles' best friend Jake asked him if he would like to go on a holiday to Europe. Charles would have loved to go but had no money saved, so couldn't afford it.

Tina's story

Tina also had a job that paid well. She was careful with her spending patterns and only bought what she felt was necessary. She saved a percentage of her income every week. When her best friend, Leah, suggested that they should both go to Europe at the end of the year, Tina jumped at the chance. She had already saved enough for the airfare and by the end of the year would have enough money for a really good holiday.

There are lots of tips for saving money. Different tips work for different people depending on their lifestyle, income and personal preference. Here are some suggestions for you to consider.

Saving tips

- Be aware of when you make extra purchases – such as when you are tired, stressed or hungry – and try to avoid shopping at those times.
- Leave your credit card at home if you are going somewhere where you think you will be tempted to spend.
- Make your lunch every day instead of buying it.
- Buy fresh foods to cook, rather than takeaway or pre-packaged foods.
- Make a shopping list each week and stick to it.
- Try to buy clothes that are second-hand or on sale, rather than buying new or expensive clothes.
- Don't buy every gadget that comes onto the market.
- Watch television or DVDs rather than go to movies.
- Try to cut back on alcohol and cigarettes – the costs add up very quickly!
- Think about selling some of the things in your house that you don't need.
- Take cheap locally based holidays, and try to stay in places where you can cook your own meals rather than eating out all the time.

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Ella and Jane

Ella and Jane shared a house and decided to save for a big overseas trip at the end of the year. To save money, they bought food in bulk, then once a week they cooked large quantities of some dishes and froze the leftovers for dinners throughout the week. They would sometimes treat themselves to take away or a cheap restaurant meal but they limited the number of times they did this. By the end of the year, Ella and Jane had saved enough money for their trip.

Activities

1 Why do people save? Do all people save for the same reason?

2 Read the stories of Charles and Tina.

- ***a*** How were they different?
- ***b*** What was the end result in each case?
- ***c*** What lesson could you learn from these two stories?

3 Check the list of savings tips above and make your own list of the ones that appeal to you the most. Indicate which of the tips do you disagree with and why.

4 Can you suggest three more savings tips that you could add to the list?

5 How can savings be made in relation to food?

6 How can savings be made in relation to lifestyle shopping?

7 Read the story of Ella and Jane.

- ***a*** What was their ultimate goal?
- ***b*** In which area of their life did they try to save money?
- ***c*** What strategies or techniques did they adopt to make this work?
- ***d*** Why might these strategies work?
- ***e*** Why did they sometimes treat themselves to a takeaway or restaurant meal? Do you agree that this is a good idea?

8 Think about your current saving and spending habits.

- ***a*** Do you save money on a regular basis?
- ***b*** Are there items you would like to save for?
- ***c*** What changes could you make in your current spending habits that will help you to save for these items?

In groups, investigate the savings that can be made by buying fresh food as opposed to buying takeaway for each evening meal. Calculate the potential savings that can be made in a week. List the takeaway meals, then work out the ingredients needed to make equivalent meals. Research the prices of both the takeaway foods and the fresh ingredients. Which is cheaper? By how much? Why do you think this is?

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3 The burden of personal debt

The following two stories are fictitious, but they illustrate how easily personal debt can get out of control, and the burdens it creates.

Dylan's story

At 19 years of age Dylan had left school and was working in an office as a junior clerk. He was excited about earning money and decided to enjoy it. He applied for a credit card and was amazed at how easy it was to buy whatever he wanted by charging it to the card. When the account came, Dylan found that it was much higher than he had expected. As well as buying up big on clothes and DVDs, he had also been using his card to withdraw cash advances. He had been enjoying life without realising how much he was spending. Dylan couldn't afford to pay off his account, so he just paid the minimum amount due. At the end of the following month Dylan was astonished to see the interest charges that had accumulated on the unpaid portion of his previous account. The interest was calculated from the original date of purchase. Dylan realised that every time he was unable to pay the full amount owing, he would have to pay interest, which would add up very quickly. He needed help.

Muna's story

Muna was a single parent bringing up two children. Since moving to Australia she had supported her family with her savings and from casual work as a waitress at a city restaurant. The family had shifted between friends' homes, as well as various motels and caravan parks while trying to find a rental property that they could afford in a safe neighbourhood. When Muna finally found a small house in the inner city, she felt that she could finally get on top of things. Then her youngest daughter fell ill and Muna was faced with mounting medical costs. With all these extra expenses on top of food and clothing, Muna found that she was falling behind in the rent. Muna found herself faced with the prospect of being homeless again. She became anxious and unwell, and was unable to meet her work obligations at the restaurant. She was in need of help.

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Personal debt: the facts

FACT: Australia's total household debt is approximately $750 billion – that's about $40,000 for every man, woman and child.

FACT: Household debt has risen much faster than household disposable income. According to the Reserve Bank of Australia, household debt is 166% of income, compared to 110% in 2002.

FACT: The ratio of personal debt to income in Australia is one of the highest in the world – higher even than in the United States or the United Kingdom. For every $100 Australians earn, we owe $130. Credit and charge cards account for $40 billion of this debt.

Activities

1 Read Dylan's story.

- ***a*** What was the mistake that Dylan made?
- ***b*** What was compounding Dylan's problem?
- ***c*** What sort of help do you think Dylan needed?
- ***d*** Write another two paragraphs continuing Dylan's story in your own words. Share your story with another student in your class.

TRY THIS!

What advice would you give Dylan and Muna to help them resolve their situation? Write a paragraph outlining a solution for each of them.

2 Read Muna's story.

- ***a*** What sorts of problems did Muna face on arrival in Australia?
- ***b*** What further problems did she face with regard to her personal finances?
- ***c*** What sort of assistance do you think is available to Muna? Check the Centrelink website at www.centrelink.gov.au. Apart from government assistance, what other forms of help can you suggest?

3 What facts indicate that Australia has a high ratio of personal debt to income?

4 Answer true or false to the following statements:

- ***a*** Australia's household debt has risen faster than disposable income.
- ***b*** Australian households currently have a personal debt of $750 000 per head of population.
- ***c*** Personal debt in Australia as a ratio to income is higher than in the United States and the United Kingdom.
- ***d*** Australia's debt consists of $130 billion in credit card charges.

5 Match the following terms with their definitions below:

Terms	*Definitions*
debt	***a*** income not spent
savings	***b*** a card that allows you to purchase items on credit and pay for them later
cash advance	***c*** the money that you are charged on an overdue credit card account
credit card	***d*** the money that you owe
interest	***e*** using your credit card to get cash

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4 Personal budgets

A budget is a plan of anticipated income, expenditure and savings over a period of time. Governments produce budgets, as do businesses, as they need to plan for the future. Individual people also need a budget. Whether it is for the short term or long term, a budget can help you to plan your spending and ensure that you will have enough money to cover your expenses.

A budget can also help you to plan ways to achieve personal spending goals. You could have a weekly budget, a monthly budget or a yearly budget.

All personal budgets are different depending on individual circumstances. Here are some examples:

Susan Baker

Susan Baker is a millionaire. She has made her money investing in real estate. Susan owns the apartment she lives in on the Gold Coast. Her goal is to save as much money as possible in a short time so that she can retire early.

Weekly budget			
INCOME	**$**	**EXPENSES**	**$**
Rent from properties	3000	Food	200
Interest on investments	2000	Entertainment	500
		Clothing	100
		Car expenses	200
		Credit card payments	500
Total income	**5000**	**Total expenses**	**1500**
Savings	**3500**		

John Duncan

John Duncan is a single parent. He works part-time at a supermarket. John has three young children and his goal is to save a little each week for emergency expenses, such as possible medical bills for any of his children should they become ill.

Weekly budget			
INCOME	**$**	**EXPENSES**	**$**
Wages	800	Rent	250
		Food	300
		Child care	100
		Fares	50
Total income	**800**	**Total expenses**	**700**
Savings	**100**		

James Wilson

James is a student in his first year at university. He lives at home with his parents. James' long term goal is to establish a career in law and start his own legal practice.

Weekly budget			
INCOME	**$**	**EXPENSES**	**$**
Scholarship allowance	450	Food	100
		Fares	100
		Entertainment	100
		Extras	100
Total income	**450**	**Total expenses**	**400**
Savings	**50**		

How do you prepare a personal budget?

To prepare a personal budget, you need to estimate normal income and expense items and subtract the total expenses from total income. The difference between the two is the expected savings (or debt, if the figure is negative).

Programs such as Microsoft Excel, Moneydance and Quicken can do all the calculations for you. They can also analyse trends and patterns in income and expenses and help you to calculate expected savings.

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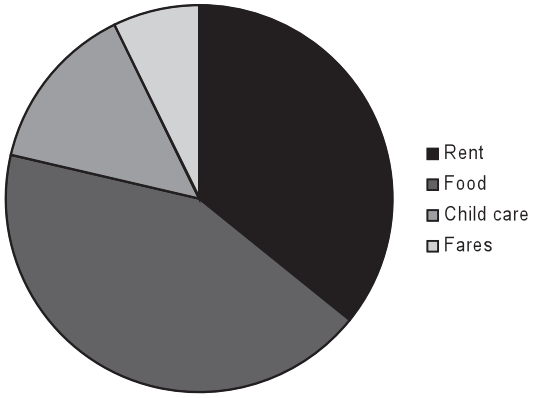
Computer programs like Microsoft Excel can turn statistics into graphs at the click of a button. Graphs are often quicker and easier to interpret than a long list of numbers. The pie graph to the right was created using Microsoft Excel. Using graphs to analyse your budget can help you to understand where most of your money is going, and can help you work out where to make changes if necessary.

It is important to be flexible when preparing a budget in case things do not go as planned. You should be willing to make changes as you go. If you are struggling to stick to your budget, it is better to revise it than to abandon it completely.

Pie graph analysing expenses of John Duncan



Activities

1 What is the main purpose of a personal budget?

2 Two of the three budgets above did not allow for electricity and telephone expenses.

- ***a*** Which budget did make this allowance? How was it done?
- ***b*** For the budgets that did not allow for these things, assume that electricity and telephone charges amounted to $80 per week. What effect would this have on the savings in each case?
- ***c*** What could you change in each of the two budgets to allow for this missing expense?

3 What do the three budgets tell you about different personal circumstances? Mention specific differences in income and expenses and discuss the impact these might have.

4 One of the budgets made allowance for extras. What extras might these consist of? Do you think the other budgets should have allowed for these? What might happen because they haven't?

5 Calculate the annual savings for each of the budgets. Do you think each person is likely to meet their personal goal? Why/why not?

6 Which basic expenses would be common to all personal budgets? Explain why.

7 What advantages can programs such as Microsoft Excel provide in preparing a personal budget?

8 Why is analysing a personal budget so important? How can this be done?

9 Examine the pie graph above of James Duncan's expenses. Which expenses stand out as the largest? Why?

10 Why might some people abandon their budgets? What are the potential dangers of doing this?

11 Which of the three budgets shown above do you think would be most likely to be abandoned? Why?

12 Use a dictionary to find the definition of the word 'budget'.

Prepare a budget for yourself, based on your regular income and regular expenses. Share your budget with a partner. What are the similarities and differences? Are there any expenses in your budget that you think could be reduced, or cut out altogether? What impact would this have on your savings?

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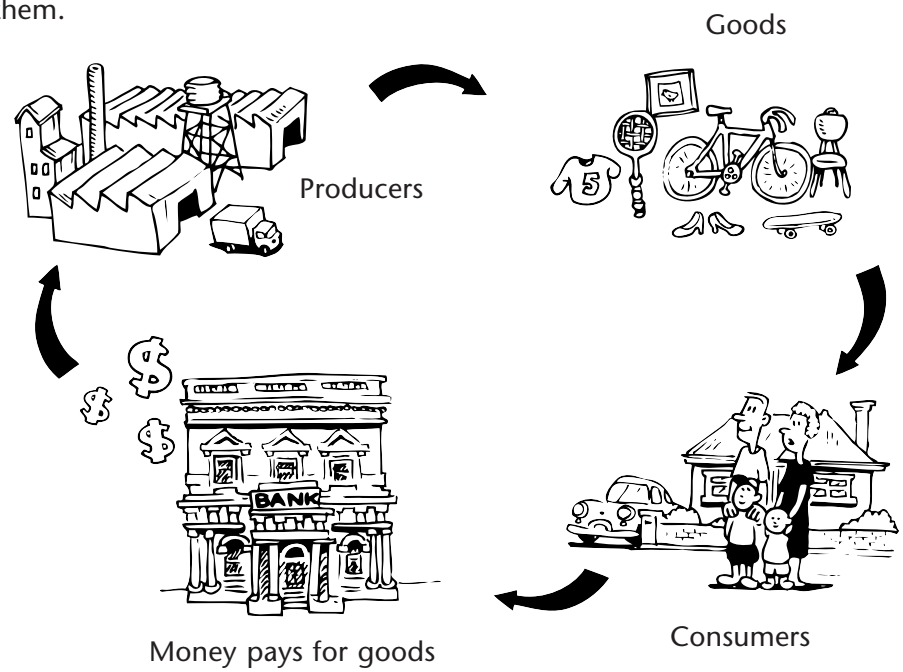
5 Buying goods

What are goods?

Goods are things that have been produced for us to buy that we can see or touch. Goods include things like a loaf of bread, a pair of jeans, a DVD or a car. Services are different from goods – they are tasks that are performed for us, such as a haircut, a holiday booking or a bus trip (see unit 6 for more information on services). The diagram below shows how producers provide both goods and services for us to buy.

How can we buy goods?

Goods are produced in places such as in a factory or on a farm. They then need to be transported to a place where consumers can buy them. There are several different ways that consumers can buy goods.



Retail stores

Retail stores, or shops, vary in size and location, from small corner stores to large department stores in shopping centres. Retail stores try to create a pleasant environment to encourage the shopper to buy. This might involve colourful displays, car parking facilities, background music and friendly service.

Factory outlets

Some stores advertise themselves as 'factory outlets'. Factory outlets often sell end-of-season products, samples and seconds at a reduced price. Factory outlets are often located in industrial areas or on the outskirts of a city or suburb because the cost of renting the space is cheaper. They may not have the comforts and extra facilities of a retail shopping centre but this can mean that the prices are often cheaper.

Local markets

Local markets are held regularly in many communities. They may be held on a specific day, such as the first Sunday in the month, or on a weekly basis. Shoppers can often pick up bargains at markets because the traders do not have the same overhead costs that a retail store has.

Direct selling

Not everyone has the time to visit shops, and others may live in remote locations where there are fewer shops to visit. Direct selling is a way of shopping without having to visit the shops. It can take several forms:

- door-to door selling, where a representative of a company knocks on doors and tries to sell their goods
- 'party' selling, where a host throws a party and invites a company representative to show their products. This is common with cosmetics, women's clothing and kitchen goods (such as Tupperware). The host often receives a free gifts if a certain sales target is reached.
- mail order selling, where goods are advertised in a catalogue that is sent to potential customers. Shoppers are not able to see the goods they are buying, but most mail order companies will allow the products to be returned if the purchaser is unhappy with them.

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Online sales

Online sales have grown enormously over the past few years. Many companies now have a website with an online shop, and some companies, such as American-based company Amazon, only sell their goods online.

Amazon.com is one of the largest retail stores in the world. The company started off as an online bookstore before branching out with products such as CDs and DVDs, computer software, clothing, furniture and toys. Amazon has websites in countries all over the world, and ships many of its products internationally.

Activities

1 What is the difference between goods and services? How can you check the difference?

2 Make a list of goods you can identify in your bedroom.

3 Study the diagram on the previous page. What does the diagram illustrate?

4 Write a definition, in your own words, for the following:

- ***a*** retailer
- ***b*** manufacturer
- ***c*** wholesaler
- ***d*** consumer

5 What are the advantages of shopping at retail stores?

6 When might a shopper use a factory outlet? What are the advantages?

7 Why might some items be cheaper at a local market than they would be if they were sold in a retail store?

8 What is direct selling? What forms can it take?

9 Give three examples of situations where direct selling might be beneficial to the customer.

10 Why do you think online selling has grown so much in recent years? What are its advantages and disadvantages?

11 What kinds of products can you buy from Amazon.com? Why do you think it is such a successful company?

12 Find a website which sells the following goods:

- ***a*** a mobile phone
- ***b*** a CD
- ***c*** a pair of jeans.

Working in groups, list all the ways that you have purchased goods over the past month. Record the group's preferred method (or methods) and compare this with other groups. What is the most popular method of shopping across all the groups? Why do you think this might be?

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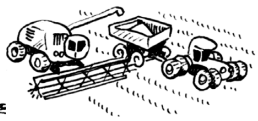
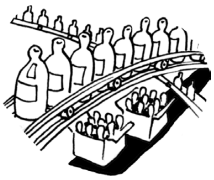
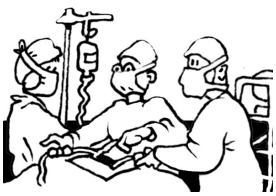
6 What are services?

What are services?

Unlike goods, services are those things you want to buy that you can't see or touch directly. There are many different types of services.

Where do services fit in the economy?

Economic activity refers to all the goods and services that are being bought and sold in the country. We often classify economic activity into three broad groups: primary, secondary and tertiary (see diagram below).

Type of industry	Characteristics	Examples
Primary	Obtaining raw materials from the Earth	coal mining  wheat farming fishing
Secondary	Manufacturing or processing raw materials into finished products	steel making car manufacturing  soft drink bottling
Tertiary	Providing services for people	banking retailing  medical services

Banking and financial services

Banks and other financial institutions provide a variety of financial services. They store money, invest money over long periods of time and lend money to people who need it. For example:

Claire earns a good income and finds that she has saved quite a lot of money over the past year. She decides to open an investment account with a bank. The bank will pay her interest on the money she has invested. The rate of interest varies depending on the health of the economy at the time.

Claire's friend Mia just got married. Mia and her husband want to buy a house. They apply to the bank for a loan. The bank is able to take the money that people like Claire have invested, and lend it to Mia and her husband. Mia and her husband will have to repay the money they have borrowed plus interest, which is what the bank charges for the use of their money.

Medical services

Doctors and other medical staff, such as dentists, nurses and hospital workers, provide a variety of medical services.

Mia's husband Tony has an accident at work and needs to see his local doctor or GP (general practitioner). The GP examines Tony's injured leg and recommends that he go to hospital for an X-ray. The leg is broken, so Tony is referred to a surgeon to set his leg in a cast so that it will heal. For this accident, Tony required the services of a GP, a radiologist (for the X-ray), a surgeon to set his leg as well as a number of nurses and hospital staff.

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Educational services

Schools, universities and TAFE colleges are all educational institutions. Teachers, teachers' aides, lecturers and other staff at these institutions provide educational services.

Mia and Tony have three children. Tina, the eldest, has enrolled in a law degree at a university. Jeff is doing his final year at high school and Jemma, the youngest, is in year 5 at primary school. There are many people providing educational services to this family.

Retail services

Retail services cover a wide variety of services performed by people such as store managers, shop assistants, delivery workers, advertising executives, door-to door salespeople and warehouse staff.

Rachel needed a pair of new shoes. She went to a large shopping centre and visited three different stores before she eventually bought a pair. Then she bought an ice cream before heading into the supermarket to buy the groceries for the week.

Tourist services

The tourism industry is one of the largest industries in Australia. Tourism encompasses a wide variety of travel, transport and hospitality services.

Mia and Tony decide to go on a holiday with their three children. Mia visits a travel agent, who books the family on a package holiday to the Gold Coast. The people providing services in this package include the travel agent, the check-in staff at the airport, the pilot and crew of the aircraft, hotel staff, restaurant staff and the taxi drivers who take them to and from the airport at both ends. The staff at the theme parks they visited also provided services. You can see that there are lots of people involved in providing tourist services.

Activities

1 What are services? How are they different from goods?

2 Explain the three main types of industries, giving an example of each one.

3 What is meant by the term 'financial services'? Give three examples of people who provide these services.

4 Read the story of Claire. What was her goal and what services did she use to achieve it?

5 Read the first story about Mia. What did she want to do and what services did she use to achieve this?

6 What connection can you find between Claire and Mia's stories?

7 What services did Mia's husband Tony need? How many different people were involved?

8 What educational services did Mia and Tony's family use? Name some of the occupations of the people who would be involved.

Construct a group mind map on the theme of services. See how many different branches you can identify coming out of the theme and how many of these are connected.

9 What retail services might Rachel encounter when she visited a large shopping centre? Other than sales assistants, who else would she encounter working there?

10 What tourist services did Mia and Tony's family use on their holiday? Name some of the occupations of people they would have met on their trip.

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7 What is a contract?

A contract is a legally binding agreement between two or more people or organisations. It has two basic elements:

- offer and acceptance
- consideration

To explain these two elements using a simple example, imagine that you go into a shop to buy a television. You check out all the options and finally, after discussions with the salesperson, you decide which one you want to buy. The marked price is $850 and you offer $800. The salesperson checks with the manager and tells you that your offer has been accepted. You have made the offer and the shop has accepted it, so an agreement has been reached.

Consideration means that something of value must be exchanged. In this case the $800 is the consideration that you have both agreed to. This is a very simple contract which has two basic elements that lead to an agreement. Contracts don't always have to be in writing, although some are required to be by law. Examples include loan contracts and contracts for the sale of a house or land.

Entering a contract

A contract is a legal document that is enforceable in law, so it is important that you understand what you are agreeing to. Never rush into an agreement that you are unsure about. The law provides some protection against being forced into a contract unfairly. In some contracts where a purchase is made, a cooling-off period applies, which means you have time to reconsider in case you rushed into a purchase.

- Entering into a contract doesn't just mean signing a legal document. You can also enter into a contract by agreeing to a purchase and paying for it, or when you click on the 'submit' button on a website.

Terms and conditions

Contracts often contain many terms and conditions.
They outline the rights and responsibilities covered by the contract. Sometimes the terms and conditions are written in very small print but they are still legally binding, so it is important that you read and understand them. If you have any concerns about the terms and conditions, seek advice before signing. By signing a contract you are agreeing to the terms and conditions. Ticking the 'I Agree' box on certain websites also means you have entered into a contract.

Note: If you have been forced into a contract by unfair or unreasonable behaviour, you have the right to seek help. Contact your state consumer affairs organisation, such as your state Department of Fair Trading. The ACCC (Australian Competition and Consumer Commission) is a federal government department that also regulates unfair behaviour with regard to contracts.

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Price tags

A price tag is not regarded by law as a definite offer, but rather as an invitation to do business. If a price is marked in error, for example $50 instead of $500, a customer cannot insist it was a valid offer.

Activities

1 Explain how 'offer and acceptance' and 'consideration' form the basis of a contract.

2 Answer true or false to the following statements:

- ***a*** It is not a valid contract unless it is in writing.
- ***b*** It is not a valid contract unless you shake hands on it.
- ***c*** It is not a valid contract if goods are exchanged for free.
- ***d*** It is not a valid contract if you have been forced into a purchase.
- ***e*** It is not a valid contract unless it is witnessed by a solicitor.

3 How are contracts entered into online? Are they as valid as a signature on a document?

4 Why do you think a contract for the sale of a block of land would need to be in writing?

5 What protections does a consumer have when entering into a contract?

6 Why are terms and conditions written into contracts? Who are they designed to protect?

7 What is meant by a 'cooling-off period'? Give an example of when this might apply.

8 Find a travel brochure and check the terms and conditions (usually found on the back pages). What do they say? What do you notice about them? Why do you think this is?

9 Joe goes into a sports store and sees a tennis racquet marked at $2.50. He goes to buy the racquet, but the seller says it was an error and should be marked as $250. Joe insists it was an offer which he accepts and is therefore a valid contract. Is Joe right? Explain.

In groups, brainstorm examples of contracts you have entered into over the past month. This might include signing up to websites, registering new software or making purchases. See if you can find the terms and conditions that you agreed to when entering into one of these contracts. How closely did you read them? Read them now. Who do you think they are trying to protect, and from what?

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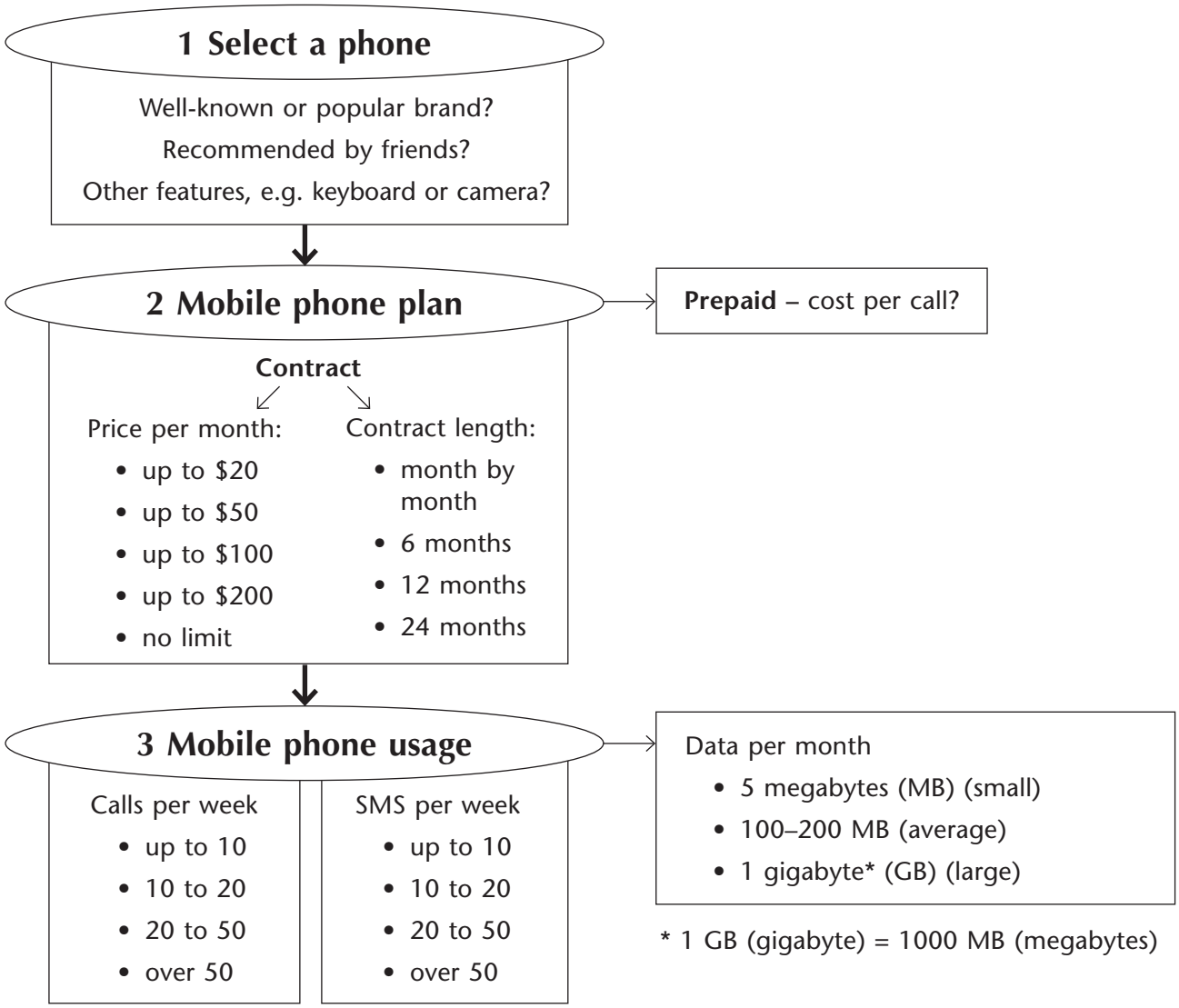
8 Mobile phone plans

When shopping for a new mobile phone plan, there are a lot of things to consider. The key things to be aware of are:

- what kind of phone you want
- the mobile phone plan options available
- how (and how much) you use your phone (see diagram below).

Selecting a mobile phone plan – the three stages



* 1 GB (gigabyte) = 1000 MB (megabytes)

Facts about phone plans

- **Monthly plans** or contracts can be economical, particularly if you use your phone a lot. Some contracts actually give you a new phone up front, and lock you in for a fixed period of time. Your monthly fees over that time period will cover the cost of the phone, as well as your usage. There are many plans available and you need to look carefully at the details.
- **Prepaid** phones are handy if you don't want to be locked into a long-term contract. You buy a certain amount of credit up front and when your prepaid credit runs out you can easily buy more. Although the price per call may be more expensive than in a monthly plan, prepaid plans mean you can control what you spend and don't get any nasty surprises when the bill comes. You can also change service providers more easily.
- **Coverage** – mobile phone coverage varies greatly in some parts of Australia, and some providers provide better coverage than others. Some handsets are also better at picking up mobile phone signals than others.

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- **Cap plans** – these are contracts where you pay a minimum amount each month which covers you for a set value of calls, downloads and SMS messages. For instance, a $49 cap plan may give you $300 of 'included value'. Cap plans do not limit your actual phone bill. When you use up your allowance you will be charged additional costs, and these are charged at varying rates. For example, call charges vary according to time of call, so calls after 8 pm may be cheaper than calls during the day.
- **Included value** – every plan offers a different amount of included value, which is calculated at different rates and includes different types of calls and services. This means that 'included value' amounts cannot always be easily compared.
- **Bundling** – many service providers offer special deals or discounts if you 'bundle' your landline, mobile phone and internet connection with the one company. It's important to check whether you are actually saving money by doing this, as packages can be difficult to compare.

Responsibilities

It is important to remember that a phone plan is a contract (see previous unit). When you sign up you are entering into a legal agreement to pay a certain amount of money for a set period of time, such as 24 months. Even if you don't make any calls, or if you lose your phone, you will still have to pay up each month. Be aware of any penalties for breaking a contract before it has expired. Owning a phone outright can be expensive initially, but protects you from having to enter into a contract with the provider.

Activities

1 Why do you think mobile phone plans can be sometimes difficult to understand?

2 If someone has difficulty understanding a mobile phone plan, what should they do?

3 Study the diagram on the previous page showing how to select a mobile phone plan.

- ***a*** What is the first step? What factors would influence you in your selection and why?
- ***b*** What are the advantages and disadvantages of a prepaid mobile versus a mobile phone plan?
- ***c*** What are the two main elements in a mobile phone plan or contract?
- ***d*** What aspects of your mobile phone usage should you consider before choosing a plan?
- ***e*** How much data is considered 'average use' on a mobile phone?

4 What precautions should you take before signing up to a monthly mobile phone plan?

5 If a mobile phone plan advertises $0 upfront for the phone itself, does this mean that the phone is free? Explain.

6 What is meant by the terms 'cap plan' and 'included value'?

7 Why should you consider coverage when selecting a mobile phone and provider?

8 What is meant by 'bundling'? Why do companies do this? What should you be careful of when considering bundling services?

9 A mobile phone plan is a contract. Why is it important to be aware of this? What can happen if you lose your phone?

10 What are the advantages of owning a mobile phone outright?

In groups, choose a handset that you like and research the various plans available for that phone. Which is the cheapest? Which is the most expensive? Which do you think offers the best value? Decide which plan you would choose, and why.

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9 Paying your mobile phone bill

Mobile phone technology has come a long way in a very short space of time. The first generation mobile phones were analogue but digital technology quickly paved the way for a new generation of phones that could send data at high speeds and provided extra features such as text messaging, or SMS.

New phone technology

Third generation technology, known as 3G, allows phones to send and receive information up to ten times faster than second generation phones. Handsets come with built-in cameras and microphones. Colour screens mean that messages can now include pictures, video and music, not just text. Mobile phone technology now allows people with 3G mobile phones to take photos, send and receive emails, watch movies, access public transport timetables and restaurant menus, open garage doors, activate security systems and turn on home heating or air conditioning.

Mobile phone bills

The new range of features available on 3G mobiles mean that mobile phone bills have become much more complicated. Instead of just including call charges, they now include data charges, SMS, multimedia messages and voice and video calls. All of these things are charged at different rates, which can make it hard to keep track of the costs.

Hannah

Hannah was so excited when she got her first mobile phone. It was a present from her parents, who wanted her to be able to contact them in case of emergencies. Unfortunately, Hannah's parents didn't explain the different costs associated with using her new phone.

The first thing Hannah did was to organise her contacts, entering the names and numbers of all her friends. She made a few calls while she was doing so, and ended up chatting to some friends for over an hour. Hannah didn't realise how much the calls would cost.

She was also thrilled by how easy it was to send text messages (SMS), and she messaged all of her friends. She was sure they didn't cost very much. Hannah's friend showed her how to download ring tones for her phone, and she changed them regularly. She found that she could download video clips of her favourite songs. Unfortunately, she didn't realise that these were 'premium services' that are charged at a higher rate.

When Hannah received her first bill, she was horrified to find that it came to $1200. There was no way she could afford to pay the bill. Hannah's parents helped her out this time, but they explained that she would not be bailed out again.

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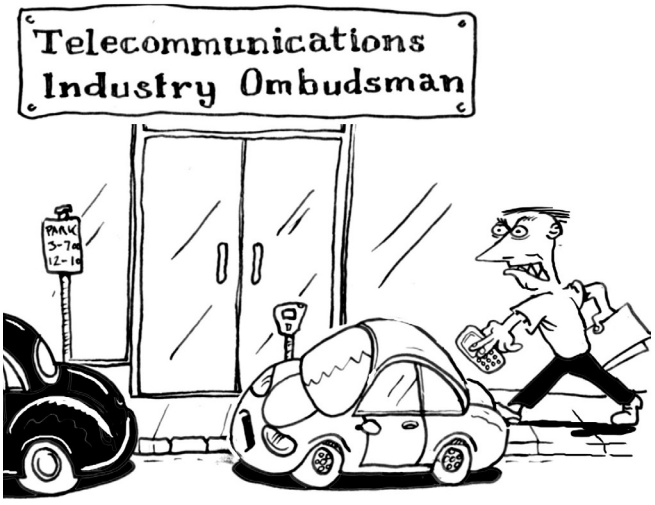
Complaints

If Hannah or anyone in a similar position was not satisfied with their mobile phone company they could complain to the Telecommunications Industry Ombudsman (TIO). Phone bills like Hannah's, and some much larger, are very common occurrences, and there has been a dramatic rise in the number of complaints to the TIO in recent years. The TIO has launched information campaigns to assist phone users, ensuring that consumers understand the various charges that apply to the use of smart phone technology.

You can contact the TIO on www.tio.com.au. It is an independent organisation and provides free advice.



Activities

1 Describe how mobile phone technology has changed over the years. What is the difference between first and second generation phones, and between second and third generation phones?

2 Make a list of the features now available on 3G mobile phones.

3 Read Hannah's story, and answer the following questions:

- ***a*** What should Hannah have done before she began to use her phone?
- ***b*** What were the mistakes that Hannah made in the way she used her phone?
- ***c*** If you were Hannah's friend, what advice would you give her regarding how to manage her future phone costs?

4 What do the letters TIO stand for? What does this organisation do?

5 What do you think has caused the sharp rise in complaints to the TIO in recent years?

6 Why is an understanding of concepts like 'data charges' and 'premium services' important?

7 What is a smart phone? Why do you think it is described that way?

8 Do you have a smart phone? Do you use all the features on it? Why/why not?

Individually, or in groups, research the smart phones that are currently available. Make a list of the ones you think are the best and give your reasons.

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10 The online shopping experience

Online shopping has become extremely popular in recent years. There are many advantages to online shopping, such as:

- it is convenient
- it saves time
- it is often cheaper than buying from retail stores
- you can shop interstate or even overseas
- more and more companies are offering online shopping facilities.

Tips for smart online shopping

- Find out as much as you can about the product that you want to buy. Ask the seller questions, and see if you can find photos of the same item on other sites, so you know exactly what you're getting.
- Make sure you know all the details of the sale, including shipping costs, delivery times, and whether you can return the product if it's faulty or not as described.
- Take steps to ensure that the seller is trustworthy. Do they have a registered business? Can you check customer feedback to show that they have a good record?
- Check the payment options and make sure they are secure. Look for a padlock symbol at the top or bottom of the screen – this usually means that your information is safe.
- Know what to do if something goes wrong. Do you have contact details for the seller? Does the website offer a mediation service to resolve disputes?
- Check online auction sites. Learn how they work, what your rights are and what you can do if anything goes wrong.
- Keep records. You should keep copies of any documents such as forms, emails or web pages as they are a record of the sale. Terms and conditions, warranties, receipts and payment forms and even advertising brochures could all provide proof of the sale that took place.

Problems may arise

- If something goes wrong with an online purchase there are some things you can do:
- Start by contacting the seller. There might have been a simple misunderstanding that could easily be resolved.
- If that doesn't work, contact the people who run the website to see if they can help. Keep copies of all your correspondence.
- Contact your bank to see if you're able to stop the payment from going through.
- Contact your local office of fair trading, or the ACCC. They may be able to help, or at least offer advice.

Problems with an overseas seller

If things go wrong when buying goods online from an overseas seller, you may have more difficulty in resolving the dispute. Start by trying the steps outlined above. If that doesn't work, contact ICPEN (the International Consumer Protection and Enforcement Network. This worldwide organisation aims to protect consumers around the world by sharing information and encouraging global cooperation among law enforcement agencies.

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Activities

1 What do you think are the advantages of online shopping? Which of these do you think are the most important?

2 What disadvantages are there in online shopping?

3 What kinds of problems can arise from online shopping?

4 Explain why it is important to check the following when buying online:

- ***a*** the seller's website
- ***b*** the terms and conditions of sale (including warranties)
- ***c*** the payment methods
- ***d*** the quality of the goods being purchased.

6 What records should you keep when shopping online. Why?

7 Why is it best to contact the seller first if you have a problem with an online purchase?

8 What is meant by the term 'dispute resolution'? How is it carried out, and by whom?

9 What assistance might your bank provide if there is a problem?

10 What risks are associated with buying online from an international seller? What can you do if you have a problem?

TRY THIS!

Hold a class discussion about individual experiences of online shopping, both good and bad. Focus on what went right, what went wrong, and why. Make a class list of the most popular websites that people shop on, and note whether anyone has ever had a negative experience when purchasing from those sites.

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11 Scams: A case study

A scam is a trick aimed at gaining a person's trust in order to defraud them. Many scammers use email and SMS to contact people in the hope that someone will read their message and believe it to be true.

The following is the type of email that is often circulated by scammers trying to defraud innocent people. The email tries to gain people's confidence by offering them money. The extract below is based on real emails, but names and some of the wording have been slightly altered. The spelling and grammatical errors contained within are typical.

From: BARRISTER RICHARD JONES
Subject: HELLO SIR/MADAM

Dear Sir

With all due respect,
My name is Richard Jones an attorney by profession. In my quest to find a reliable trustee to manage the assets/estate of my late client valued at only $15,000,000.00 (fifteen million US dollars) this is the reason why you are receiving this email from me. She was a great woman doing good especially in the area of charity, in the last five years of her life.

I shall be willing to supply you with more detailed information concerning this business project upon hearing from you. I have no intention whatsoever to delve into your private life considering the fact you have never had any communication with me in the past, but due to the nature of this business project based on the fact that I lack the power to assume the role of a trustee or appoint any of my relation to become the trustee. By virtue of the facts and circumstances surrounding this project, I am left with no other choice but to carry out a discreet search for a reputable person outside the shores of my country in the United Kingdom and consequently seek your stewardship to stand as the Deceased's Next of Kin.

You will be entitle to 40% of the total sum as your share, 10% will be mapped out to offset any expenses both parties might make during the course of this transaction while 50% will be for me.

If you wish to render your selfless service, but very rewarding, do provide me with the following information.

1. Your full names
2. Tel and fax numbers
3. Complete address
4. Your occupation and your age

I shall provide you with more detailed information upon hearing from you. If this transaction interests you kindly send your reply on this my personal email address.

Kind regards
Richard Jones, Esq.

Why people get tricked by scams

Most scams work by convincing people to give out either money or their personal details to a complete stranger. There are many ways they can go about this. It is easy to be tricked by something that seems legitimate because it has a website, or a legitimate-sounding business name. But anyone can set up a website, and there is no way of being sure that it really is 'official'.

A lot of scams are 'get rich quick' schemes, which work by convincing people to part with large amounts of money by promising a much bigger return down the track. However, scams can also involve very small amounts of money – scammers can make just as much money convincing a large number of people to part with a small amount of money as they can by getting one person to put up a large sum.

Kinds of scams

There are many different kinds of scams. They may include:

- Job opportunities, which target people looking for a new job. Promises of big incomes for little work are often part of the scam. They tend to be 'work from home' schemes. You may be tricked into signing a contract and/or paying an up-front fee.

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- Business opportunity schemes such as pyramid schemes. These can be dangerous because, although you are promised big earnings, the scheme requires you to buy up supplies of a product up front before trying to sell it.
- Lottery scams, in which you are notified that you have a won a big prize in a lottery and you need to send some money to cover expenses so that the prize money can be sent to you. Remember that you cannot win money in a lottery unless you have entered it yourself or someone else has entered on your behalf.
- Gambling software packages which promise to accurately predict the results of sporting events, such as horse races and major sporting contests.

How to avoid being scammed

- Do not agree to an offer or deal without spending some time considering it or getting independent advice.
- Do not hand over money or sign anything until you have thoroughly checked out the company, organisation or person you are dealing with.
- Never give out your personal information or bank account details to anyone you do not trust.
- Don't believe everything you read. Do some research to verify the information that has been sent to you. If you suspect an email is a scam, it is best not to even open it, and definitely don't reply to it.

SCAMwatch is a website designed to help people become aware of scams and how they work. SCAMwatch is run by the Australian Competition and Consumer Commission. The site is at www.scamwatch.gov.au.

Activities

1 Study the email on the previous page.

- ***a*** What is the sender proposing?
- ***b*** What clues tell you that this is a scam?
- ***c*** What techniques is the writer using to try to convince people to follow up his invitation?
- ***d*** If you replied to this invitation, what would the scammer be likely to do next?
- ***e*** If you received an email like this, what do you think you should do? Why?

Construct a false scam email which tries to convince people to enter into a get-rich-quick scheme of some sort. Then swap emails with a partner and identify the features that indicate that the email is a scam.

2 If someone told you they thought that all online businesses are legitimate, what would be your response? Explain your reasons.

3 What is your view of 'get-rich schemes' via the internet? What would be your response if someone asked you to be involved in such a scheme? Why?

4 Why do people still fall for 'get-rich quick' schemes on the internet?

5 Why is it difficult for authorities to police the illegal use of the internet?

6 Describe some of the ways in which scammers operate. Mention examples such as job or business opportunities, lottery or gambling scams, or any other scams you have heard of.

7 Make a list of the strategies people should use to avoid being scammed.

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12 Credit card fraud and identity theft

What is identity theft?

Identity theft is accessing someone else's personal details and pretending to be that person. This is usually done for some kind of financial gain. The most common forms of identity theft are:

- someone buys items using your credit card or credit card details
- someone assumes your identity and:
  - withdraws money from your accounts
  - borrows money in your name
  - sets up a business under your name
  - conducts illegal activities in your name.

Identity theft is a serious crime and it can have devastating effects.

How is it done?

Stealing

The most obvious and direct method of identity theft is to steal your credit card or your wallet or purse, which may contain vital personal information.

Card skimming

Card skimming uses a device inserted into an ATM that records information from the magnetic strip of the credit card or ATM card. The PIN number is also recorded using cameras or other methods. The scammer can then use the information to create a fake card with your details on it.

Searching

Scammers can also gain access to your personal records by rummaging through your garbage or through council rubbish tips looking for personal information. Scammers can also get information about you from social networking sites such as Facebook and Twitter, so it is important to be careful about the information you post on those sites.

Phishing

Many scammers send emails pretending they are from a bank and are checking their records or security systems. They then ask you for your account number. This process is known as phishing. Some of these emails can look quite authentic and often contain the bank's logo.

Another method used is to send you money and then ask you to transfer that money to someone you don't know. This is known as 'money laundering', and is a way of transferring funds earned illegally in order to hide their origin.

It is important to remember that banks will never send you an email asking you for your account number or other personal details. If you are in doubt, contact the bank and talk with them directly.

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Spyware

Spyware is software that spies on what you do on your computer. It may be sent to you in an email attachment which then sits in your computer somewhere and collects your personal information (especially banking and credit card details) without your knowledge.

Key logging is a variation of this, whereby someone at another computer is able to record and copy the key strokes you make, especially when entering personal information such as your bank account details.

How to protect yourself

- Protect your computer by installing reputable antivirus and/or anti spyware software programs and keep them up to date.
- Never send money or give your bank account details to anyone you don't know.
- Remember that a proper bank or financial institution will never email you asking for your personal details.
- Contact your bank immediately if you notice any suspicious or unexplained transactions from any of your accounts.

Activities

1 What is identity theft? Why is it so serious?

2 What is card skimming? How can a scammer use it to steal your identity?

3 Why is it important to keep your wallet or purse secure at all times? What precautions do you personally take to do this?

4 What is the danger in not safely disposing of your bank statements or other financial documents? Explain how you can do this safely.

5 What is 'phishing'? Why do some people get caught by it?

6 What important fact should you remember about emails from your bank?

7 Explain the meaning of the following terms:

- ***a*** spyware
- ***b*** key logging
- ***c*** antivirus program

8 What action would you take if you found transactions listed on your credit card statement that you did not make?

9 Why is it a bad idea to keep a copy of your PIN in your wallet or purse?

Hold a class discussion about identity theft. Encourage students to reveal their own personal experiences or those of other people who have been caught. Explore ways that each of these incidents could have been avoided.

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13 Buying second-hand goods

'Someone's trash is another one's treasure'.

Buying second-hand, rather than new, goods is a great way to save money. Some people love buying second-hand goods, while others will only buy new. There are advantages and disadvantages for each, as this scenario illustrates.

A lunchtime discussion

Jessica: Hey, I went down to the Sunday markets yesterday and bought a whole lot of clothes, really cheap.

Sophie: I bet you bought rubbish. Yuck – imagine wearing clothes that someone else has worn.

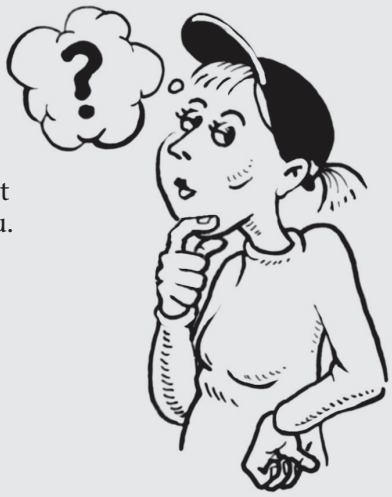
Jessica: They're all right when they're washed.

Sophie: I never buy second-hand stuff. If I want clothes, I go out and buy new stuff.

Jessica: Yeah, and you pay a fortune for them.

Noah: What's wrong with second-hand stuff? My brother rides a motor bike and he is always off to swap meets, where other riders swap bike parts. It's a good way of getting stuff for your bike without spending too much.

Sophie: But how do you know that what you buy is going to work? What if the parts break down?



Noah: Well, for starters, you can usually tell if what you are buying is OK. And anyway, you know the regulars at the meets. They won't try to dud you.

Sophie: But you get a warranty with stuff you buy new – you don't get that if you buy second-hand.

Jessica: But what about the environment? If we all bought new stuff and threw it away when we got sick of it imagine the waste. Buying second-hand is a type of recycling, really.

Sophie: Well, I guess it depends on the individual.

Where do you buy second-hand goods?

There are many different places you can go to buy second-hand goods. They include:

- **local markets** – there are many local markets operating throughout the country, often on a regular day of the week (Sunday is a very common day for local markets).
- **garage sales** – often someone within your neighbourhood will hold a garage sale. This is a way of getting rid of books, clothes and household goods quickly and cheaply. Garage sales can be a great place to pick up bargains. Sometimes keen buyers queue up in the early hours of the morning just to get the best things.
- **charity stores** – charity stores, or op shops, take goods donated by people and then sell them to raise money for the charity. 'Vinnies' (the St Vincent de Paul Society) and the Smith Family are just two examples of charities that run stores.

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- **private sales** – many people sell used goods by advertising them in their local newspapers. The ads are placed in the classified section and are sorted by category, such as Sporting Equipment.
- **online auction sites** – eBay is a popular online auction site where you can buy second-hand goods. Sellers advertise goods and set a time period during which buyers can bid for an item. At the end of the time period, the buyer who has offered the highest bid wins the auction and purchases the item for that price. Both buyers and sellers must first register and there are systems in place to prevent people from being cheated.
- **hand-me-downs** – an older brother or sister may pass on clothes or toys that they are no longer using. The biggest advantage of hand-me-downs is that you may not have to pay for them at all.

Activities

1 What is the meaning of the expression 'someone's trash is another one's treasure'?

2 Read the lunchtime discussion on the previous page.

- ***a*** What was the difference between Jessica's and Sophie's views about buying second-hand goods?
- ***b*** Which position did Noah support? What were his reasons?
- ***c*** What advantages do you see in buying second-hand goods? What are the disadvantages?
- ***d*** How can buying second-hand goods benefit the environment?

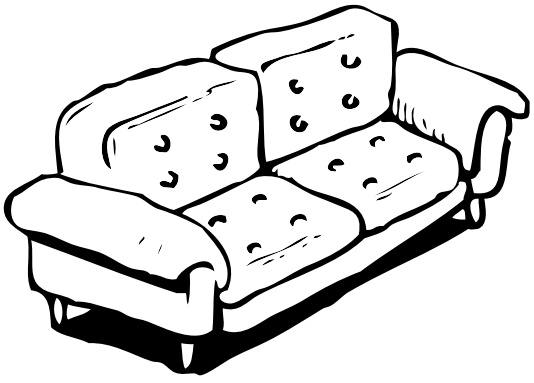
3 What risks might there be in buying goods from people advertising private sales in the local newspaper?

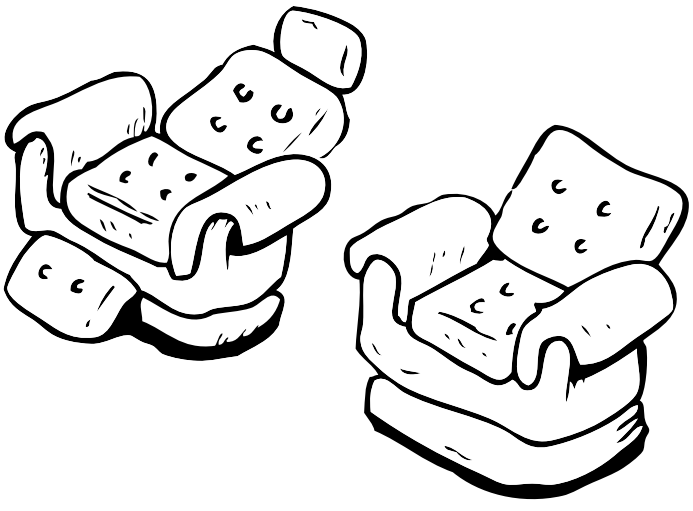
4 What are the advantages of online auction sites such as eBay? Are there any disadvantages?

5 Have you ever received hand-me-down clothes from an older relative or family friend? Were you happy to receive them? Why/why not?

6 Have you ever bought second-hand clothes or goods? If so, were you happy with the goods? Would you buy second-hand again?

Individually, or in groups, list all the charity stores in your local area. Find out who each charity helps with the money raised in their stores.





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14 The influence of marketing

Marketing is more than just selling. It includes the strategies used to promote, advertise and sell goods and services to consumers, including packaging, market research and sales promotion.

The four Ps of marketing

Product

Place

Price

Promotion

Product refers to the actual goods and/or services you are buying. This can include the item itself, the packaging, and also other aspects such as warranties, customer support etc.

Place is where you actually buy the product and how it gets there from the manufacturer

Price is the agreed financial value of the goods and/or services being purchased

Promotion is the way the product is advertised to bring it to the buyer's attention.

Promotion and advertising

Advertising and promotion are the ways a company tries to get the attention of buyers and convince them to buy the product. Advertising takes many forms, from catalogues in your letterbox to major television and newspaper ads. The kind of advertisement used, and even the style of the advertisement, the newspaper it is placed in or the time it is shown on television are all carefully chosen depending on who the advertisement is aimed at.

Advertising is a highly specialised business and many companies hire an advertising agency to produce an ad or sometimes even a complete advertising and marketing strategy. Advertising costs a lot of money, and the cost of this is usually built into the price of the product.

Brand loyalty

Advertising may be informative, persuasive, or both. Informing potential customers of a new product and its features is only part of the purpose of an ad. Advertisements also try to ensure a product is recognisable, and to differentiate that product from its competitors. This is part of a strategy called 'brand loyalty'. Companies want customers to be familiar with, and drawn to, their brand. Apple, Nike and Coke are examples of companies that have established a strong brand.

Market research

Before a manufacturer spends money creating a product, they will conduct extensive research into their target market. This is so they can be sure that people will buy what they produce. Companies go to a lot of trouble to find out what you like.

Market research is carried out in order to answer the following questions:

- do customers like the product?
- how much should we sell the product for?
- what is the likely size of the market?
- are there similar products already on the market?

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Market research is carried out by a variety of methods, such as surveys, shopping centre interviews or taste tests.

There are different types of markets that products might be aimed at:

- Target market – the customers you are targeting, or aiming to attract.
- Niche market – a small select market for a limited number of customers.
- Mass market – a large number of potential customers.

Apple

Apple is one of the largest companies in the world. It started off developing computer technology but has since been successful in marketing a variety of innovative products. When Apple released the iPod in 2001 they revolutionised the way we listen to music. Apple has now sold 275 million iPods worldwide. The iPhone and iPad have also been marketing triumphs. Apple is an example of a strong brand with a clear marketing strategy, meaning its products are highly sought after and instantly recognisable.

Activities

1. Are marketing and selling the same thing? Explain.
2. What are the four Ps of marketing? Explain how they would apply to the marketing of a new soft drink.
3. Why is brand loyalty such an important part of advertising? Give three examples of well-known brands (other than those already mentioned).
4. Why do you think market research aims to find out the size of the market?
5. What things do you think a company considers when deciding how much they should sell their product for?
6. What is the difference between a niche market and a mass market?
7. Why do you think Apple has been so successful in marketing their products? List all the Apple products you can think of. Can you remember seeing any Apple advertisements? What did you like about them?

In groups, imagine you are marketing a new kind of soft drink. Develop three strategies for marketing the new product. Think about who you are selling the drink to, and how you might get their attention.

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15 Responsible consumer behaviour

'The customer is always right.'

This is a phrase often used to train sales staff in good customer relations. But is it true? Is the customer always right? Or are some customer behaviours unethical or even illegal? Being a consumer comes with both rights and responsibilities.

Returning goods

As a consumer you have the right to return goods if they are faulty or damaged. You may have your money refunded or you may be provided with a replacement item that is not faulty or damaged. However, you cannot return goods simply because you have changed your mind. Some stores may allow you to do this in order to maintain a good relationship with you, but it may not always be fair on the retailer. Consider the two scenarios below:

Ryan buys some new CDs from a music store. He takes them home and copies them onto his computer. He then takes the CDs back to the store and says he has decided he doesn't want them anymore and wants his money back.

Samantha loves shopping for dresses. She often buys a few dresses, takes them home and wears them for several weeks, then takes them back to the stores, claiming that they don't suit her and asking her money back. She loves telling her friends about how she always has a new outfit, and never has to pay.

Paying bills on time

Paying your bills on time is fair to the retailer or service provider, who might need money coming in to keep the business running. Although it is not illegal to pay bills late, it can result in late charges. If you find that you regularly have trouble paying your bills you may need to look at ways to reduce your spending. If you are not careful, bills and late charges can escalate very quickly. Consider the case below:

Sally had three credit cards. She boasted to her friends that she could use one credit card to pay off the others, so she could keep shopping as much as she wanted. The bills kept adding up until they were more than Sally could pay. Sally realised that the interest charges on her unpaid bills had accumulated. Sally was being charged interest on the total amount owed, including the interest she had already been charged, so the debt just kept on growing.

Bag checks

In large, busy department stores and supermarkets, it is possible for people to walk out with goods that they have not paid for. To keep this from happening, many stores have a sales assistant at the front door to inspect people's bags as they leave. Most people accept this procedure without any objections. All bag checks are voluntary, and a store cannot detain you, or touch you or your bag without your consent. However, a store has the right to set conditions of entry and can ask you to leave if you refuse to comply. If they suspect shoplifting they can call the police to deal with the matter. Consider the two scenarios on the next page.

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Lindsay goes into a large department store but decides not to buy anything. As she walks out of the store she is asked to display the contents of the bag she is carrying. Lindsay strongly objects to this and angrily shouts that this is an infringement of her rights. She refuses to open her bag.

Ethan also strongly objects to bag searches. Ethan, however, objects to bag searches because he often shoplifts and doesn't want to get caught. Although he has been caught numerous times shoplifting from stores, he has also got away with it on some occasions.

Abusive behaviour

As a consumer you do have rights, but this doesn't mean that you should be aggressive or abusive when trying to resolve a dispute with a company or store. Even if you are angry about the situation, being aggressive towards the salesperson makes them less likely to see your point of view. You can still be assertive in maintaining your rights, but there are other ways of doing this. Some consumer advocates recommend the 'broken record technique' in which you quietly and reasonably explain your concern and what you want done about it. Keep stating this until you feel you have been heard. Most stores want to maintain good customer relations and will respond to your request if it is reasonable. If you are not satisfied with the store's response, you have the right to contact the office of fair trading in your state and take the matter further.

Activities

1 When would the expression 'the customer is always right' be used?

2 Is this expression correct? Do customers have responsibilities as well as rights? What might they be?

3 Do consumers have the right to return goods? Are there conditions regarding when they can do this?

4 When is it not appropriate for a customer to return goods?

5 Read Ryan's story. Do you think his actions were appropriate? Were they legal? Give reasons. What about Samantha's behaviour?

6 Read Sally's story. How would you describe Sally's behaviour? Was it illegal or unethical? Give reasons.

7 What is the purpose of bag checks in supermarkets and department stores?

8 Read Lindsay's story. What was Lindsay's view about bag checks? Was she right to object? Give reasons.

9 Was Ethan justified in objecting? Were his actions unethical or illegal? Explain.

10 If you have a dispute with a retailer, what should you do? If you are not happy with their response, is there anything else you can do?

11 What is the difference between being assertive and being aggressive in your dealings with a store over a dispute?

In groups, make a list of the times you can remember returning goods. What were the reasons? For each case, discuss whether the store had to allow the return or if they did so to promote good customer relations.

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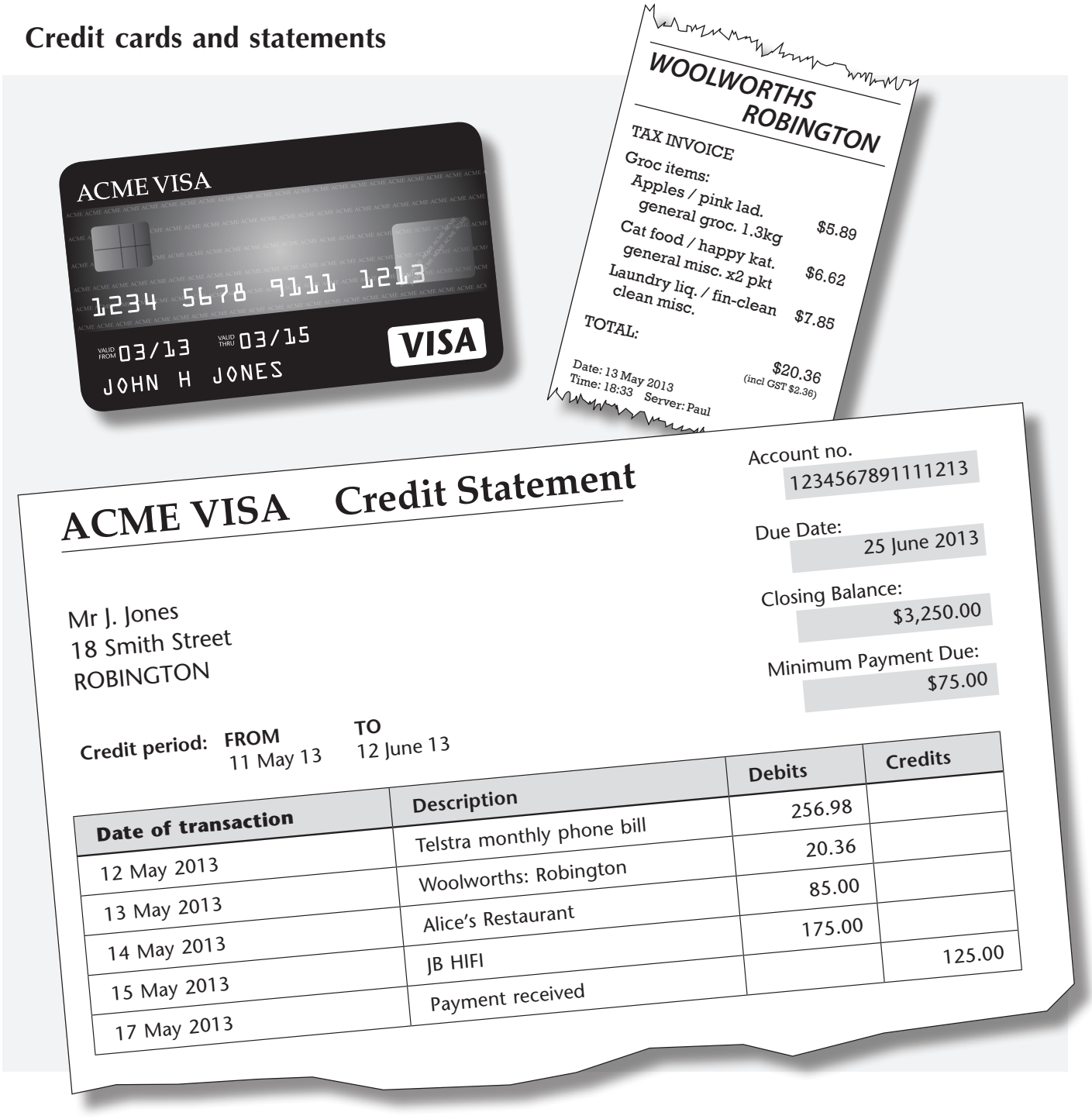
16 Understanding credit cards

What is a credit card?

There are lots of plastic cards you can acquire, such as loyalty cards, club membership cards and ATM cards (debit cards). A credit card, on the other hand, is a card that you can use instead of cash or debit to purchase goods and services. When your credit card is swiped you can either sign a sales docket or enter your PIN (Personal Identification Number) and you can take the goods home. This means you don't have to pay for them immediately. When you receive your statement you need to pay for the goods you have purchased over the past month. Your statement will list a minimum amount that needs to be paid. However, if you only pay the minimum amount due, you will still be charged interest on the outstanding amount. When taking out a credit card, check the terms and conditions of the contract and, in particular, the interest charged on overdue accounts. Some people have several credit cards – this can be dangerous, as it makes it hard to keep track of all your purchases.

Credit cards and statements



Date of transaction	Description	Debits	Credits
12 May 2013	Telstra monthly phone bill	256.98	
13 May 2013	Woolworths: Robington	20.36	
14 May 2013	Alice's Restaurant	85.00	
15 May 2013	JB HIFI	175.00	
17 May 2013	Payment received		125.00

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Co-branded credit cards

Sometimes several companies join together to offer special credit card deals. These cards are called co-branded credit cards. Often a company will join with a bank or a credit provider, such as Westpac–QANTAS–Mastercard or ANZ–Frequent Flyer–Visa card. Nearly all of these cards charge an annual fee as well as interest on unpaid accounts. It is important to shop around for the credit card that best suits your needs, bearing in mind the following:

- annual fee
- interest charged on unpaid portion of accounts
- interest-free period
- rewards benefits
- overseas use, if applicable.

Activities

1 What is the main difference between a credit card and a debit card?

2 What do the initials PIN stand for? What is its function?

3 Under what circumstances are you charged interest on your credit card account?

4 How can you avoid paying any interest?

5 Why is it unwise to have too many credit cards?

6 Why is it important to check the terms and conditions of a credit card contract? What information should you be looking for?

7 What is a co-branded card? Give an example.

8 Examine the diagram showing a credit card, a tax invoice and a statement on the previous page.

- ***a*** What is the expiry date on the credit card? Why is this important?
- ***b*** What other information is displayed on the credit card?
- ***c*** What is a tax invoice? What does it show?
- ***d*** What was the due date on the credit card statement? What does this mean?
- ***e*** What is the significance of the minimum payment due? How much is it?
- ***f*** Describe the transaction that occurred on 13 May?
- ***g*** What is the significance of the credits column? What sort of transaction might be included in that column?

Research co-branded credit cards. Find three different cards on offer and compare the annual fee, interest rate and interest-free period on each one. Which card do you think offers the best deal?

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17 Warranties

A warranty is a written promise, given by the seller or the manufacturer, that the product they are selling is free from faults. A warranty also means that if a fault is found, the seller or manufacturer agrees to repair or replace the faulty product. As well as the warranty offered by the seller or manufacturer, almost all goods that you purchase are covered by an implied warranty. This means that the manufacturer is required by law to ensure that their product meets certain standards.

Manufacturer's warranties

The manufacturer's warranty guarantees that the goods will work for a certain period of time (this is known as the warranty period). If any faults occur within the warranty period, the manufacturer agrees to replace or repair the product.

Express warranties

Express warranties are the normal warranties given by the manufacturer or retailer, including the details of what is covered and what is not. The express warranty may state that some parts are excluded, or whether both parts and labour are included. An express warranty may also state that a product will not be covered by faults caused by misuse, accident or carelessness.

Extended warranties

Some manufacturers or retailers offer what is called an extended warranty, at an additional cost. This is designed to cover you if the product stops working outside of the manufacturer's warranty period. Extended warranties often offer cover for an extra 1, 3 or 5 years. Some extended warranties actually offer protection that you are already entitled to under the consumer guarantee, so it is important to find out what the extended warranty provides before purchasing one.

Implied warranties

When it comes to warranties, many people are unaware of their rights. If a product comes with a 12-month warranty, many people assume that after 12 months they have no more protection. However, there is also an implied warranty on all goods. This means that any product you buy must do what it says it will do for a reasonable period of time. For example, if you buy a lawnmower, you would expect it to be able to cut grass. This expectation should continue well beyond the 12-month warranty that the manufacturer may provide. Implied warranties are also called statutory warranties.

Knowing your rights

It is important to know your rights when it comes to warranties. If you have a problem with a product you have purchased, you should stop using it immediately and contact the seller or service provider. You might be able to negotiate whether the product should be repaired or replaced, or your money refunded, depending on the nature of the problem.

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What you are not entitled to

You cannot expect a refund, repair or replacement if you:

- simply change your mind about a purchase
- find you can buy the product cheaper elsewhere
- damaged the item yourself.

Steps you can take if a product is faulty

Step 1 Contact the seller or manufacturer and request a refund, repair or replacement. You will need supporting documentation, such as your tax invoice or receipt and, if necessary, the advertisement for the product you purchased.

Step 2 If step 1 is unsuccessful, contact the office of fair trading in your state. They may assist you in negotiating a settlement between you and the seller.

Step 3 Pursue your case in a court of law. Bear in mind that this is expensive, and there is no guarantee of success.

Activities

1 What is a warranty? What is its purpose?

2 Jake and Gillian have seen the ad (see previous page) for a Panasung all-in-one Printer/Copier and decide to go ahead and buy it. After 15 months they find that the printer does not work properly – the paper keeps on jamming. They return the printer to the retailer.

- ***a*** Under what circumstances would they be covered against this defect?
- ***b*** What might the retailer offer to do? Why?

3 What is an implied warranty?

4 What is an extended warranty? Why do some sellers try to pressure buyers into them? What should you consider before buying an extended warranty?

5 Under what circumstances would you not be entitled to a refund or replacement?

6 What is the first step you should take to resolve a problem with a purchase? Why is it the most important one?

7 Does a manufacturer have to provide a warranty? If not, do you have any protection against defects with the product?

Choose an appliance that you have at home and find out whether it is still under warranty. What did the warranty cover? Were there any special conditions? Make a list of things that could go wrong with the appliance and decide whether each one would be covered by the manufacturer's warranty, the extended warranty (if one was purchased) or the statutory warranty.

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18 Gambling

Gambling can take many forms, but it is generally accepted to mean placing a bet or wager on an event or playing a game of chance for money. It may be putting a bet on a horse race or playing a poker machine – there are lots of examples.

Why do people take the risk?

Many people find gambling fun. Some people only gamble occasionally (such as a once a year bet on the Melbourne Cup) while others gamble more regularly. Some people never gamble at all. Although gambling can be fun, there is a lot of risk involved, and some people take big risks that don't always pay off. In Australia, people under the age of 18 are not allowed to take part in any form of gambling. This includes buying lottery tickets or scratchies, which are also kinds of gambling.

What are your chances?

Gambling is all about taking a risk in the hope that you will win some money. Generally, the greater the risk, the more money you could win. You may be familiar with the laws of probability – this means that there is a formula for predicting the likely outcome in each case. Many people keep gambling because they 'feel lucky' or think their number is bound to come up soon, but the laws of probability often show that the chances of this happening are actually very small.

For example, take the discussion between Daniel and Ellie.

Daniel: When I toss this coin Ellie, what are the chances of tossing a head?

Ellie: Well, I would say 50/50.

Daniel: Correct, as there are two possibilities. But what if I told you that I have just tossed ten heads in a row? What are the chances of a head on this next toss?

Ellie: Oh, that would be a lot less than 50/50.

Daniel: Wrong. Each individual toss still has a 50/50 chance of coming up heads. But if I asked what are the chances of tossing 11 consecutive heads, that is different. Do you follow?

Ellie: I think so. You really need to understand the laws of probability if you are going to gamble, don't you?

Commercial gambling such as poker machines and horse racing is usually organised to make money for the organisation running it. This means that the more a person gambles, the more likely he or she is to return a certain percentage of their winnings to the organisation. Winning can be exciting, but the temptation to keep gambling in the hope of winning more can be a trap. In the long term, you are most likely to lose. The only way to avoid getting into trouble is to only gamble what you can afford to lose.

Compulsive gambling

Some people find that gambling becomes a habit that they are unable to control. This is known as compulsive gambling. Compulsive gamblers are characterised by:

- a continual need to gamble, whether they are winning or losing
- an inability to stop gambling
- a tendency to gamble much more than they can afford.

Many compulsive gamblers don't believe they have a problem. Compulsive gamblers may avoid telling people how much they gamble and how much they lost, or they may gamble until they run out of money. Some will sell or steal things to raise more money to gamble.

Compulsive gambling can lead to family relationship breakdown, an inability to work efficiently, financial problems and even criminal activity. Problem gambling is recognised as a mental health issue.

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Compulsive gambling can affect people of any age. Research has shown that teenagers who play video games regularly are more likely to develop into problem gamblers. Take the case of Lee as an example:

Case study: Lee

Lee started gambling when he was 14, playing card games at home on the internet. 'Internet poker is great, because you don't have to be over 18 to play', he boasted to his mates. By 19, Lee was a regular casino visitor, where he played blackjack and roulette.

'It's an adrenalin rush', he would say. 'You are pitting your skills and abilities against the system.' By 25 Lee was married with two young children, but he still gambled whenever he got the chance. He would bet on sporting matches, visit the casino and he still used online gambling sites. Before long Lee had gambled away his savings, lost his job and his marriage began to break down. Lee had become a compulsive gambler, and he needed help.

Getting help

Many people struggle with gambling problems and there is help available. Gambling Help Line (1800 858 858) is on call 24 hours a day. Each state in Australia also has gambling help lines, such as Gamblers Anonymous.

Activities

1 What do you think people enjoy about gambling?

2 When does gambling become a problem?

3 Why would it help to understand the laws of probability before gambling?

4 At what age is it legal to gamble in Australia? Why do you think this is?

5 What is compulsive gambling? What are some of the signs that a person has a gambling problem?

6 Can teenagers be problem gamblers?

7 Read Lee's story.

- ***a*** How did he start gambling?
- ***b*** How would you answer Lee's claim that 'you are putting your skills and abilities against the system'?
- ***c*** What eventually happened to Lee? What do you think caused this?

8 How can problem gamblers be helped?

In groups, research one of the following topics:

- *gambling problems among teenagers*
- *getting help for compulsive gamblers*
- *gambling in sport*
- *government regulation of gambling.*

Each group could take a different topic and report their findings back to the class.

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19 Consumers and the environment...

As consumers we can help to preserve the environment. Everything we buy can affect the environment in many ways, from how it was made to how it was packaged and what happens when we dispose of it.

Manufacturing and use

The way a product is manufactured can affect the environment in a number of ways. The manufacturing process can result in chemical by-products or pollution and can sometimes use large amounts of water, which is a limited resource. Some companies are taking steps to reduce or offset the environmental impact of manufacturing their products. Although we can't always avoid buying certain products, we can become aware of how the item was produced and try to choose the option that has the least environmental impact.

Using some products can also harm the environment. Some appliances, for example, use a lot of electricity. Most electricity is generated by burning fossil fuels, which is unsustainable and harms the environment. By choosing energy-efficient products, we can minimise our energy use, reducing our impact on the environment.

Packaging

In recent years there has been a dramatic increase in the packaging of goods. Even some fruits and vegetables are packed in plastic these days. Packaging is often designed to make a product more attractive to consumers. It is also used to communicate information to the consumer. Some packaging is necessary in order to keep the item in good condition. However, a lot of products come with a lot more packaging than necessary.

After an item is purchased, the packaging is almost always thrown away, creating a huge amount of waste that needs to be disposed of. Not all of this waste is recyclable, and a lot of it goes to landfill, where it can take hundreds of years to break down.

Some companies ensure that their packaging is made from recyclable material. Others try to minimise the amount of packaging they use. Purchasing products that use environmentally friendly packaging can help to minimise the amount of waste your purchase creates.

Disposal and waste

As well as the packaging, it is also important to consider how the product itself can be disposed of at the end of its life. Some kinds of glass and plastic can take thousands of years to break down – and others may never fully break down. When purchasing a product, it's important to be aware of whether it is recyclable or biodegradable, which means that it will be able to be re-used or will break down quickly when it is disposed of.

Electronic items, such as computers and mobile phones, can release toxic chemicals when they are thrown into landfill. The increase in the use of electronic goods, combined with the fact that they are usually replaced fairly regularly, means that electronic waste is a big issue today. Some companies have found ways to recycle electronic goods, often by taking them apart and re-using the components. This is known as 'e-cycling'.

Being ethical consumers

Being an ethical consumer means making informed choices. As consumers become more aware of environmental issues, many manufacturers try to capitalise on this issue by claiming that their products are 'green', or environmentally friendly. The term 'greenwashing' describes the deceptive use of advertising or marketing in order to falsely claim that a company's policies or products are environmentally friendly. Companies use tricks such as packaging their products in a green colour, to suggest that they are environmentally friendly. Recently, the Australian Competition and Consumer Commission (ACCC) has reported an alarming rise in complaints about misleading 'green' advertising, particularly by energy retailers. The ACCC has made it very clear they won't tolerate excessive claims being made in an attempt to fool consumers and are taking steps to stamp this out.

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Fairtrade

It is also important to consider the conditions of the workers who produced the product. Not all workplaces provide safe working conditions, and some countries use child and slave labour to produce high volume at low cost. The Fairtrade movement aims to help producers in developing countries obtain better trading conditions and promote sustainability.

Fairtrade ensures that products from developing countries are purchased at a fair price from individual producers and sold with a 'fairtrade' label to tell consumers in developed countries that the item was produced under fair conditions.

What can we do?

There are many things we can do to ensure that as consumers we are environmentally aware. A green consumer will:

- buy goods that are environmentally friendly, such as recycled paper
- take cloth bags to the supermarket rather than accept plastic bags, which can contribute to landfill
- refuse to buy any goods which have excessive packaging
- buy energy-efficient light globes
- buy appliances that have a high energy-efficiency rating
- buy products that can be refilled (such as cleaning products), to minimise packaging
- pressure the government to regulate packaging and greenwashing
- recycle and reduce your waste.

Activities

1 Complete the following paragraph using the following words:

green, waste, recycling, greenwashing, ACCC, energy-efficiency, environment, packaging

Consumers can help to preserve the _____ by reducing the amount of _____ through _____. They can also be wary of products with excessive _____ and advertisements which claim that products are _____. Deceptive advertising such as this is known as _____, and the _____ is attempting to stamp it out. Buying electrical goods which have a high _____ rating is also good for the environment.

2 How has packaging changed over the past 30 years?

3 Imagine you are a member of parliament with a special interest in the environment. Outline one regulation or law you would like to propose which would stamp out the practice of 'greenwashing'.

4 Indicate whether the following statements are true or false.

- ***a*** All packaging can be recycled.
- ***b*** Energy-efficient appliances are appliances that don't use any electricity.
- ***c*** All plastic bags are biodegradable.
- ***d*** Recycling electronic goods is known as 'e-cycling'.

5 What is meant by the Fairtrade movement? What are its aims?

6 What do issues such as child labour and a safe working environment have to do with the Fairtrade movement?

7 Write a letter to your local newspaper expressing your views about packaging.

In groups, choose a particular company and research their environmental policy. What steps are they taking to minimise the environmental impacts of their products? What kind of packaging do they use? Would you consider their products to be 'green' choices? Report your findings to the class.

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20 Tax returns

Almost everyone who earns money has to pay tax on the money they earn. If you have been in paid employment, at the end of the financial year you will need to fill in a tax return. If you earn more than $6000 in a financial year (1 July to 30 June) you must pay income tax. The first $6000 you earn is called the 'tax-free threshhold'. The amount of tax you will pay on the rest of the money you earn will be calculated according to your income.

Tax file number

When you start work for the first time you will need a tax file number. This is a nine digit number that identifies you to the Australian Tax Office. To change jobs, apply for government benefits from Centrelink or to file a tax return, you will need this number. There are two ways of applying for a tax file number (TFN).

1. If you are a secondary school student, the quickest and easiest way for you to get your tax file number is via the secondary schools TFN program. Applying this way is easy because your school verifies your identity, so you don't need to provide any documents proving your identity. You will still need to provide some information from your Australian birth certificate, Australian citizenship certificate or overseas passport.
2. If you have left school you will need to complete a Tax File Number application. You can get an application form online from the Australian Tax Office at www.ato.gov.au or by phoning the tax office. You will need original documents to prove your identity.

How income tax works

You pay income tax during the year as you earn it. If you are an employee, your employer will take it from your wages. The amount of tax you pay depends on how much you earn and whether you can claim any deductions, such as work-related expenses. When you start a new job, you have 28 days to give your tax file number to your employer before they must start deducting tax from your pay.

Completing a tax return

At the end of the financial year, you need to work out whether you have paid too much tax or not enough. To do this you complete a tax return.

A simple calculation:

Gross income – work-related expenses (or deductions) = taxable income

Tax already paid – tax payable on your taxable income = tax refund.

Note that if you owe more tax than you have paid you will owe the tax office the difference.

Some people do their own tax return, either using e-Tax online or using the Australian Tax Office booklet (TaxPack) as a guide. Tax laws can be very complex so many people use the services of a tax agent or qualified tax accountant.

To complete your return you will need your tax file number and a yearly payment summary, or group certificate, from your employer, as well as any other financial documents or records you've received during the income year. The income year ends on 30 June each year. You have until 31 October to lodge your tax return. If you use a registered tax agent you can lodge later than 31 October, but you need to see your agent before 31 October to qualify for their lodgement dates.

The tax office will process your return and issue you with a Notice of Assessment and refund, usually within a few weeks. If you owe tax, the earliest you will have to pay it is 21 November, regardless of when you lodge your return. If you have any problems or queries you can contact the tax office or your tax agent.

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What can you claim?

Work related expenses – You can claim many expenses that relate to your work. To claim an expense, you must have spent the money and not been reimbursed by your employer. Expenses may include tools you need to do your job or work-related books. You may also claim expenses if there is a specific uniform that you must wear for your job.

Car expenses – You cannot claim travel between your home and your workplace but you can claim car expenses if you have to use a car as part of your work. In this case you need receipts and your car logbook as proof that the expenses were part of your job.

Travel expenses – You may be required to travel by aeroplane or by some form of public transport as part of your job. You can claim the cost of this travel so long as it is essential to your job.

Self-education expenses – You can claim your self-education expenses if you can show that the study has a sufficient connection to your current employment.

The Medicare levy

Medicare is the scheme that gives Australian residents access to health care. To help fund Medicare, taxpayers pay a Medicare levy. The amount you pay is based on your taxable income and is in addition to your income tax.

John started work as an apprentice carpenter with Acme Constructions. His employer deducted $5000 tax from his wages. He claimed $3000 of work-related expenses, including tools and self-education at TAFE. John's gross income was $25 000. The tax payable on his taxable income was $4500.

Activities

1. How is a financial year different from a calendar year? Why do you think it is different?
2. How much must you earn before you start paying income tax? What is this figure known as?
3. What is a TFN? Why is it important?
4. If you are still at school, how can you apply for a TFN?
5. How does your employer assist you in paying income tax?
6. Why is it necessary to complete a tax return? When should this be done?
7. Explain the difference between gross income and taxable income.
8. Under what circumstances would you receive a refund from the tax office?
9. Read the John's story, above.
   - *a* How much tax had John paid in the financial year?
   - *b* What work related expenses did John claim? What did they amount to?
   - *c* What refund could John expect from the tax office?
10. Describe the different ways you can lodge a tax return.
11. Outline some of the deductions or work-related expenses you can claim. Indicate two expenses that you cannot claim. Explain why not.
12. What is the Medicare levy? Why do you think it was introduced?

Use the website of the Australian Tax Office at www.ato.gov.au. Select 'Tax topics A–Z' from the left-hand menu bar. Click on one of the topics listed and write a paragraph explaining how it works.

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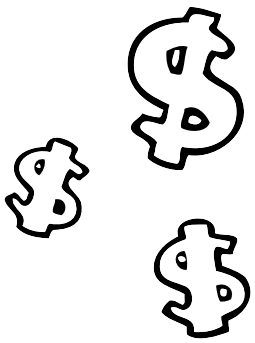
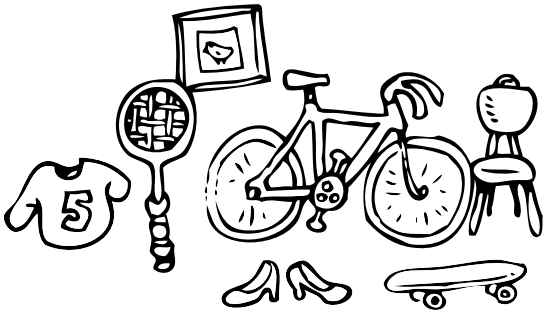
21 Money word find

Find the words listed below in the word find. They may be horizontal or vertical. The remaining 28 letters refer to sound advice in handling money.

- MONEY
- WARRANTIES
- SKIMMING
- SAVING
- MARKETING
- AUCTION
- ADVERTISING
- DISTRIBUTION
- CARD
- SERVICES
- CREDIT
- LOYALTY
- PRODUCT
- TAX
- GAMBLING
- MOBILE
- DEDUCTIONS
- BANK
- DEBT
- FINANCES
- PIN
- SCAM
- RETAIL
- BILL
- CONSUMER
- LOANS
- THEFT
- ATM
- LAND

A	D	E	D	U	C	T	I	O	N	S	B	D	R
D	P	M	U	G	S	D	T	I	S	B	N	I	E
V	R	O	T	H	E	F	T	E	K	A	G	S	T
E	O	B	M	A	R	K	E	T	I	N	G	T	A
R	D	I	O	C	V	M	A	A	M	K	L	R	I
T	U	L	N	A	I	K	S	X	M	E	O	I	L
I	C	E	E	R	C	R	E	D	I	T	Y	B	A
S	T	G	Y	D	E	B	T	O	N	L	A	U	U
I	D	O	M	O	S	C	A	M	G	A	L	T	C
N	S	A	V	I	N	G	N	Y	E	N	T	I	T
G	A	M	B	L	I	N	G	A	B	D	Y	O	I
E	S	W	A	R	R	A	N	T	I	E	S	N	O
F	I	N	A	N	C	E	S	M	L	N	P	I	N
C	O	N	S	U	M	E	R	E	L	O	A	N	S





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Selected answers

1 WHAT ARE YOUR SPENDING HABITS?

1 Needs are things we need to survive while wants are things we can do without.
2 No. Clothing is a need because it keeps you warm, but some items of clothing, such as expensive brands or fashion items, are not necessary to survival.
3 Luxury items are things that you don't need. They are usually expensive. Examples may include imported cars, jewellery, expensive holidays, designer clothing.
4 Our money is limited even though our wants are unlimited.
5 Retail therapy refers to the excitement, enjoyment or satisfaction people gain from shopping.
6 Some people use shopping to try to forget their problems.
7 A compulsive shopper is a person who always wants to go shopping. Symptoms include a sense of anticipation before shopping, feeling excited when shopping, guilt after purchasing and keeping purchases secret.
8 The main danger is not having the money to pay for purchases.

2 TOP TIPS FOR SAVING MONEY

1 Reasons for saving may include for an emergency, for expenses, to be able to make expensive purchases in the future, to guard against job loss or to invest and make money. People save for different reasons.
2 **a** Charles spent all the money he had while Tina saved some of her income.
b Charles was unable to take an overseas holiday whereas Tina could.
c The importance of saving for the future instead of spending all your money at once.
5 Making your lunch every day instead of buying it; planning meals in advance.
6 Buy second-hand clothes, sell things you don't need, take cheaper holidays, watch DVDs instead of going to the movies, avoid buying new gadgets.
7 **a** To save for an overseas holiday.
b They planned their evening meals.
c They bought and cooked food in bulk and froze leftovers.
d They would avoid unnecessary wasted food and avoid buying expensive meals.
e They wanted to occasionally have a treat but this was carefully controlled.

3 THE BURDEN OF PERSONAL DEBT

1 **a** Dylan made too many purchases and withdrew cash advances on his credit card, and did not monitor his spending and debts.
b The interest charges on his unpaid account accumulated quickly because he could not pay off the full amount.
c Dylan needed financial advice regarding how interest charges can accumulate on unpaid bills.
2 **a** Muna was a single parent with two young children. She was struggling to find affordable accommodation.
b Muna's daughter became ill, resulting in unexpected medical bills and trouble paying the rent.
c Muna could receive a pension or allowance from Centrelink. She may also be able to get help from charities.
3 The ratio of personal debt to income in Australia is relatively high: for every $100 of income we owe $130. Australia's personal debt is about $750 billion, or $40 000 per person.
4 **a** True **b** False **c** True **d** False
5 **a** savings **b** credit card **c** interest **d** debt **e** cash advance

4 PERSONAL BUDGETS

1 A personal budget helps to plan finances for the future and try to achieve goals.
2 **a** Susan Baker, through credit card payments (which would include those expenses)
b John Duncan would have savings of only $20 a week and James Wilson would have negative savings of $30 a week.
c Changes could include cutting back on non-essential items such as entertainment expenses, or making savings on food purchases.
3 They are three different people, one a rich investor with no dependents, another a single parent and the third a young university student, all with different needs and expenditure patterns.
4 Unforeseen medical bills, special nights out with friends, birthdays. Allowance needs to be made for extras to avoid negative savings where possible.
5 Susan Baker $3500 × 52 = $182 000; John Duncan $100 × 52 = $5200; James Wilson $50 × 52 =$2600
6 Food and accommodation expenses (unless you own your home outright), basic clothing and emergency medical bills.
7 Microsoft Excel can produce graphs of statistics quickly and easily, and can calculate figures automatically using formulas, making it easy to adjust figures and assess the impact.
8 Analysing a budget can tell you where you are going right or wrong. A spreadsheet will allow you to analyse patterns, graphically or otherwise.
9 Food and rent, as these are the most basic and essential items for survival.
10 People might decide it is too hard, particularly if it is difficult to make ends meet. The danger is that expenses may end up being greater than income, resulting in negative savings and potential financial difficulties.
11 Either John Duncan or James Wilson, as both have small savings margins.

5 BUYING GOODS

1 Goods are things that have been produced. Services are tasks performed for us by others. We can see or touch goods.
3 The diagram illustrates how goods are exchanged for money.
4 **a** retailer – one who sells directly to the public
b manufacturer – one who makes goods
c wholesaler – one who receives goods from manufacturer and sells them on to retailer
d consumer – one who purchases goods and services
5 Retail stores are more accessible to the public and more user-friendly.
6 A factory outlet may have items at cheaper prices.
7 Items may be cheaper at local markets because there are none of the overhead expenses associated with a retail store.
8 Direct selling is a way of buying items without visiting a shop, such as door-to-door selling, parties (such as Tupperware) or mail order.
9 Convenience of mail order system, the fun of a party, getting to see the item without having to go to a store (door-to-door).
10 Online selling has grown along with Internet growth. Advantage is convenience of not having to leave home; disadvantage is not being able to inspect goods prior to purchasing.
11 Amazon.com sells products including books, CDs, DVDs, furniture, office equipment, toys, tools, beauty products and sporting equipment.

6 WHAT ARE SERVICES?

1 Services are tasks that are performed by others for us for a price. They cannot be seen or touched in the way that goods can.
2 Primary: farming, mining; Secondary: car manufacturing; Tertiary: banking services.
3 Financial services are those provided by banks, credit unions, insurance companies and financial advisers. Bank teller, insurance broker, financial adviser.
4 Claire's goal was to save money to invest and earn interest on. She used the services of a bank to open an investment account.
5 Mia wanted to buy a house, so she used the services of a bank to apply for a loan.
6 Both Claire and Mia used the banking system to invest and borrow.
7 Tony needed medical services for his injury. The services involved a GP, a radiologist and a surgeon as well as hospital nursing and administrative staff.

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8 Mia and Tony used the educational services provided by a primary school, a high school and a university. Occupations would include teacher, teacher's aide, lecturer.

9 The services would include sales assistants. She might also encounter the store manager, cleaners, security guards, parking attendants, shopping trolley attendants.

10 Services would come from a travel agent, perhaps a bus driver, pilot, check-in staff at the airport, restaurant staff, hotel staff, taxi drivers, theme park attendants.

7 WHAT IS A CONTRACT?

1 In a contract something has to be offered, such as goods, and that has to be accepted. Consideration means this has to be for money.

2 **a** False **b** False **c** True **d** True **e** False

3 Contracts made online are valid if, for example, goods are selected for purchase and the person clicks on the 'Submit' or 'I agree' button.

4 Sale of property is expensive with legal consequences hence any contracts need to be in writing.

5 Protection is afforded by legislation and through state offices of fair trading, as well as the ACCC.

6 Terms and conditions spell out the fine details of a contract. They protect both parties to the contract so each knows exactly what is agreed upon.

7 A cooling-off period is a number of days where a person entering into a contract has time to reconsider.

8 The details usually outline what a travel company offers or provides and what it does not. Very often the print is very small.

9 No, Joe is not right. A price tag is not regarded as a definite offer.

8 MOBILE PHONE PLANS

1 They can be difficult to understand because of the complex conditions, such as caps, different charges, discounts and special deals.

2 Contact the seller of the plan, or get some advice from a friend or family member.

3 **a** Select a phone. Factors such as brand, recommendations, special features such as camera, music player etc.
b Prepaid means you can control the amount you spend, but you can't use the phone once you run out of credit.
c Price per month and length of contract
d Number of calls and SMS messages and data use per week
e 100–200 MB

4 Check you can afford to pay your mobile phone bills each month.

5 No, it means you effectively pay for the phone through your monthly plan.

6 A cap plan sets a limit to the value of calls for each month. Included value is the amount of calls, SMS and data use that monthly payment covers.

7 Some remote areas of Australia are not covered by most service providers.

8 Bundling is providing special deals or discounts if you sign up for mobile + landline + internet connections. It is important to check whether you are actually saving money by bundling.

9 As it is a contract you have a legal obligation to adhere to the terms of the plan. If you lose your phone you will still have to pay for the phone for the life of the contract.

10 If you have the money up front, owning your own handset can be cheaper than paying it off via a monthly plan. This allows you to shop around for a cheap plan.

9 PAYING YOUR MOBILE PHONE BILL

1 Third-generation mobile phone technology now includes interactive touch screens, cameras, music players, internet connection, ringtones and games. First generation phones were analogue, second generation were digital and included SMS messages with other enhancements.

2 As in question 1 plus students' own mobile phone features

3 **a** Hannah should have done some research on phone plans and talked to friends.
b She made too many long phone calls, sent too many SMS messages and used other premium services which involved downloading from the internet.
c Probably you would suggest she think carefully about her phone usage, try to cut back on some of the expensive services and monitor her usage.

4 Telecommunications Industry Ombudsman. It monitors complaints made by customers about mobile phone services.

5 Large numbers of people are now being caught up in the complexity of phone usage and the many services available.

6 Data charges and premium services can both end up being very expensive.

7 A phone with many added devices or features.

10 THE ONLINE SHOPPING EXPERIENCE

1 Convenience, variety, price.

2 Not being able to physically see the goods and not being able to check sizes or quality.

3 The item might not be as described, or might take a long time to arrive (or never arrive at all).

4 **a** You need to know that the seller's website is genuine.
b Terms and conditions could contain important details regarding the transaction.
c Payment methods can vary and need to be secure.
d The quality of the goods may not end up being what was advertised.

6 Copies of any forms such as invoices, web pages, advertisements, warranties, receipts or payment records.

7 Very often it is the easiest way to resolve a problem and is fair to the seller.

8 Dispute resolution is a method of settling a dispute between a buyer and seller, often with the help of a third party.

9 Banks can provide security when purchasing online or proof of funds paid. They may also be able to stop payment in the event of a problem.

10 Added difficulty in tracing some international sellers and no access to legal avenues in Australia. You can try contacting ICPEN (International Consumer Protection and Enforcement Network).

11 SCAMS: A CASE STUDY

1 **a** The sender is asking for someone to act as a trustee to receive money.
b Proposal appears too good to be true, poor use of grammar and expression, request for personal information.
c Trying to use large sums of money as enticement, using complimentary language (reputable person, selfless service).
d The scammer would most likely want your personal banking details and would request you send some money for 'expenses'.
e Ignore and delete the email, preferably don't open it at all if suspicious. If you respond they know you are a real person and might try something else.

2 Not true, as some online businesses are scams. Anyone can set up a website, there is no guarantee that it is official.

4 People want to believe they can make money by doing nothing or very little.

5 The internet does not have any 'central station' or head office which can be policed or checked.

6 Scammers may offer job opportunities, business opportunities, lottery wins and gambling schemes.

7 Always be suspicious of emails offering get-rich-quick schemes, avoid giving personal bank details by email.

12 CREDIT CARD FRAUD AND IDENTITY THEFT

1 Identity theft is pretending to be someone else, usually for the purposes of stealing money or committing crimes. It is serious because it is a crime and can have devastating effects.

2 Card skimming is illegally copying information from the magnetic strip or chip on a credit card. It works by photographing or copying the magnetic coding which contains account numbers. The scammer can then use this information to create a fake card in your name.

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3 The contents of your wallet or purse, such as credit cards, may be used to assume your identity and/or defraud you of money.
4 This information can be used to defraud you. It is wise to shred all your bank account statements and other financial records.
5 Phishing is when someone contacts you claiming to be from a bank and asks you to give them your account details by email.
6 Banks will never request your personal account details, PIN etc by email.
7 **a** spyware – software programs that spy on your computer and allow another person to extract your details
b key logging – where an operator at another computer can copy your keystrokes as you type, giving them access to information such as account numbers or PINs
c antivirus program – a software program which destroys or isolates viruses in your computer.
8 Call the bank immediately. You may need to have your credit card stopped.
9 If your wallet or purse is lost or stolen, your money can be easily accessed with the PIN.

13 BUYING SECOND-HAND GOODS

1 'Someone's trash is another one's treasure' is an expression used to explain how some people like to buy second-hand goods that other people throw out as trash.
2 **a** Jessica likes buying second-hand goods while Sophie prefers to buy only new things.
b Noah supported Jessica and believed in buying second-hand goods. He believed it was a good way to save money and that you could usually tell if goods were OK or not.
c Second-hand goods are generally cheaper. Disadvantages may relate to quality or whether goods are worn.
d Buying second-hand goods helps the environment because it keeps things from being thrown away as waste, and means fewer new goods need to be produced.
3 Goods may be faulty.
4 Online auction sites are a convenient way of finding a variety of cheap second-hand goods in one place. Disadvantages may be that you can't see the item before purchasing.

14 THE INFLUENCE OF MARKETING

1 No, marketing is a broader term to cover a number of activities related to selling.
2 Product, Place, Price, Promotion. The marketing of a new soft drink would involve considerations of what the product is, where it will be sold, its price and how it will be advertised.
3 Brand loyalty is very important as people are more likely to stick to a brand they know and like, even if it is more expensive. Examples will vary.
4 Market research investigates the size of the market to ensure that there will be sufficient demand to justify producing the product.
5 The company would consider the cost of producing the item, how much of it they think they can sell, and how much the buyer would be willing to pay.
6 A niche market is a small market for a limited number of customers (such as opera-goers). A mass market is for a large number of people (such as Coca Cola).
7 Answers will vary, but should refer to Apple's success in creating a desirable brand that is innovative and widely-recognisable.

15 RESPONSIBLE CONSUMER BEHAVIOUR

1 The expression 'the customer is always right' is used to train sales staff into establishing good relations with customers.
2 The expression is not always correct. Some consumers may act illegally or unethically. Customers have responsibility to act in a fair way that acknowledges the rights of the seller.
3 Yes. They can return goods that are faulty or damaged.
4 If a customer simply changes their mind or tries to return goods after an unreasonable period of time.
5 Ryan's behaviour, while not strictly illegal, was unethical in that he took advantage of the seller's rights to make a profit from a genuine sale. Samantha's behaviour was, like Ryan's, legal but unethical.
6 Sally's behaviour was irresponsible because she had over-committed with her purchases. What she had done was not illegal, but was unethical.
7 Bag checks are used to prevent theft or shoplifting.
8 Lindsay was objecting to a bag search. She does have the right to object, however shops also have the right to ask a person to leave if they refuse a bag check, unless the bag is a small handbag, which in some states cannot be searched.
9 Ethan's actions in shoplifting were illegal so although he could technically object to the bag check, the store could call the police.
10 If you have a dispute with a retailer you should calmly state your point of view. If you are not happy with their response, you can contact the office of fair trading in your state.
11 Assertive is expressing your rights but aggressive tends to involve shouting and threatening behaviour.

16 UNDERSTANDING CREDIT CARDS

1 A credit card allows you to buy goods on credit and pay for them later, while a debit card transfers money from your account immediately.
2 PIN stands for Personal Identification Number. It is a confidential code kept by you that allows you to make financial transactions.
3 If you don't pay the full amount owing on the statement at the end of the month.
4 By always paying the full amount owing at the end of the month, not just the minimum payment.
5 Having too many credit cards can make it difficult to keep track of purchases and spending.
6 You need to understand what your contract involves. Terms and conditions refer to interest free periods, interest rates charged on overdue accounts, annual fees, reward benefits etc.
7 A co-branded card is where two or more companies join together to issue a card with combined benefits. QANTAS–American Express–Visa is one example.
8 **a** March 2015. It means you cannot use it past that date.
b Name of issuing credit card company, name of cardholder and account number.
c A tax invoice is a sales docket that indicates price, date and GST if any.
d 25 June 2013. This is the date by which the minimum payment is due.
e Minimum payment due is the minimum amount the company will allow you to pay. Amount is $75.
f On 13 May 2013 food purchases amounted to $20.36 from Woolworths Robington.
g The credits column shows any payments you have made or if there has been a refund.

17 WARRANTIES

1 A warranty is a written promise that the goods being sold are of sound quality. Its purpose is to reassure customers that any fault or defect in goods sold will be repaired or replaced or a refund will be given.
2 **a** They would be covered under the implied warranty principle in that a printer should work for longer than 12 months.
b The retailer might offer a replacement or free repair or even a refund to maintain good customer relations.
3 An implied warranty means that goods sold should do what they are designed to do.
4 An extended warranty offers a longer time period of protection for a fee. Some sellers pressure people into them as they can make more money. You should check what the extended warranty offers, and make sure these things are not already covered under the consumer guarantee.
5 If the fault was caused by your own negligence or if a long period of time had elapsed and it was normal wear and tear.
6 Contact the seller, as this tends to resolve most problems.
7 No, a manufacturer does not have to provide a warranty. However, they do have to ensure that the product will meet reasonable expectations. If it doesn't, you are entitled to have the item repaired or replaced at their cost.

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18 GAMBLING

1 Answers will vary, but may include the thrill of beating the odds, the possibility of winning a lot of money, etc.
2 Gambling becomes a problem when gamblers cannot stop and lose a lot of money.
3 The laws of probability help you to understand your chances of winning.
4 18 years, as that is when you are a legal adult.
5 Compulsive gambling refers to gamblers who cannot stop. Signs can include a need to keep gambling, whether winning or losing, an inability to stop, and a tendency to gamble more than they can afford.
6 Yes.
7 **a** Lee started gambling by using the internet to play poker.
b Your skills and abilities are no match for the odds against you winning, as the laws of probability demonstrate.
c Lee lost his savings and his job, and his marriage began to break down.
8 Problem gamblers can be helped through agencies such as Gambling Help Line and other similar state-based organisations.

19 CONSUMERS AND THE ENVIRONMENT

1 Environment, waste, recycling, packaging, green, greenwashing, ACCC, energy-efficiency
2 More and more goods are being packaged, even in small quantities.
4 **a** False
b False
c False
d True
5 The Fairtrade movement is an international organisation that aims to help producers in developing countries to obtain better working conditions and promote sustainability.
6 Child labour and safe working conditions are targeted by the fair trade movement on the basis of fairness and human rights.

20 TAX RETURNS

1 The financial year is from 1 July to 30 June, while a calendar year is from 1 January to 31 December. It is easier to organise finances away from the Christmas holiday period.
2 $6000. It is called the tax-free threshhold.
3 Tax File Number. It is an important number that identifies you in the tax system.
4 If you are at school you can apply for a TFN through the secondary schools TFN program, as the school has your records.
5 Your employer takes out a sum of money from your pay each pay period.
6 It is a legal requirement to complete a tax return, and in any case you may be due for a refund. This should be done generally between 30 June when you receive the relevant documents and 31 October.
7 Gross income is the total income you earned in a year, while taxable income is the gross income less allowable deductions for work-related expenses.
8 You would receive a refund from the tax office if the tax you had already paid exceeded the tax payable on your taxable income.
9 **a** $5000
b Self-education expenses and tools. $3000
c $500 ($5000 – $4500)
10 Online, by mail, through a tax agent.
12 The Medicare levy is an extra payment above a certain income level to be paid to help fund the national health scheme.

21 MONEY WORD FIND

A	D	E	D	U	C	T	I	O	N	S	B	D	R
D	P	M	U	G	S	D	T	I	S	B	N	I	E
V	R	O	T	H	E	F	T	E	K	A	G	S	T
E	O	B	M	A	R	K	E	T	I	N	G	T	A
R	D	I	O	C	V	M	A	A	M	K	L	R	I
T	U	L	N	A	I	K	S	X	M	E	O	I	L
I	C	E	E	R	C	R	E	D	I	T	Y	B	A
S	T	G	Y	D	E	B	T	O	N	L	A	U	U
I	D	O	M	O	S	C	A	M	G	A	L	T	C
N	S	A	V	I	N	G	N	Y	E	N	T	I	T
G	A	M	B	L	I	N	G	A	B	D	Y	O	I
E	S	W	A	R	R	A	N	T	I	E	S	N	O
F	I	N	A	N	C	E	S	M	L	N	P	I	N
C	O	N	S	U	M	E	R	E	L	O	A	N	S

BUDGETING MAKES GOOD MONEY SENSE

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This eighth book in the *Living and Work Literacy* series provides photocopiable activities that develop the skills that will help young adults become responsible and aware consumers. Working through the units, students will consider responsible money management, including knowing their spending habits, how to budget and what to do if you are in debt. Other topics include warranties, scams, gambling, online shopping and mobile phone plans.

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